EXECUTIVE BOARD MEETING

SM/17/260

September 25, 2017

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—Staff Report for the 2017 Article IV Consultation**

Board Action:	Executive Directors' **consideration** (Formal)
Tentative Board Date:	**Friday, October 6, 2017**
Publication:	Yes*
Questions:	Mr. Tsikata, AFR (ext. 39601)
Document Transmittal in the Absence of an Objection and in accordance with Board policy:	Tuesday, October 3, 2017—WTO After Board Consideration—African Development Bank, Common Market for Eastern and Southern Africa, European Commission

***Unless an objection from the authorities is received prior to the conclusion of the Board's consideration, the document will be published.**

INTERNATIONAL MONETARY FUND

ZAMBIA

STAFF REPORT FOR THE 2017 ARTICLE IV CONSULTATION

September 25, 2017

KEY ISSUES

Context. The Zambian economy has started recovering from a marked slowdown in growth. In 2015Q4 and most of 2016, it was in near-crisis, reflecting the impacts of exogenous shocks and lax fiscal policy in the lead up to general elections. Tight monetary policy helped to stabilize the exchange rate and lower inflation, but the ensuing liquidity crunch combined with government arrears and subdued economic activity caused a rise in non-performing loans and put the financial system under substantial stress. Public debt has been rising at an unsustainable pace, crowding out lending to the private sector. The government has initiated bold reforms of subsidies in the agriculture and energy sectors, and is scaling up spending on social protection programs. However, ambivalence on key measures is creating uncertainties about its commitment to fiscal consolidation, with potential adverse effects on private investment and growth.

Outlook and risks. Good rains and rising copper price have improved the near-term economic outlook, but significant vulnerabilities remain. Increased participation of foreign investors in government securities markets has eased the government's financing constraint but has made the economy more vulnerable to swings in market sentiments and capital flow reversals. The medium-term outlook is contingent on policies. Returning to high growth requires a stable macroeconomic environment as well as policies and reforms to increase productivity, enhance competitiveness, and boost market confidence. Domestic risks to the medium-term outlook include delayed fiscal adjustment which would continue to crowd out credit to the private sector and entrench an unsustainable debt situation. External risks include tighter global financial conditions and volatility in the world copper price.

Fiscal policy. Improved performance is needed to put public finances on a sound footing and public debt on a sustainable path. This requires measures and policies that will permanently boost domestic revenue, rein in spending on costly and poorly targeted subsidies while boosting social spending, and more effectively prioritize public investment projects. Public financial management reforms are needed to restore budget credibility and eliminate arrears.

Monetary policy and operations. Against a backdrop of receding inflation and emerging exchange rate appreciation pressures, the Bank of Zambia (BoZ) has eased monetary policy significantly since November 2016. Notably, it has unwound the quantitative and administrative measures it relied on heavily in tightening monetary conditions in 2015. BoZ should rely increasingly on market and price-based instruments to implement monetary policy and deepen money markets to improve the transmission mechanism.

Financial sector stability. Despite deterioration in asset quality and declining profitability, reported financial soundness indicators suggest that most banks remain well capitalized. The recently completed report under the Financial Sector Assessment Program (FSAP) found that supervision was not fully effective, due to an outdated legal framework and under resourcing of the function. Also, a weak crisis management framework and a lack of resolution funding resulted in overuse of forbearance. The BoZ is in the process of upgrading the legal and regulatory framework for financial supervision. It is also hiring more staff and scheduling more regular on-site inspection of banks. The authorities are also taking steps to strengthen BoZ's bank resolution powers and tools, and are preparing to introduce a deposit protection scheme.

Inclusive growth. To achieve inclusive growth, the authorities should focus on maintaining stable and coherent policies, improving the investment climate, promoting productivity growth, and strengthening the country's human capital. They should also reverse recent declines in financial inclusion for small and medium-scale enterprises.

Approved By
Michael Atingi Ego and Bob Traa

Discussions were held in Lusaka during March 9–24 and May 29–June 10, and continued via VTC through August 28. The staff team comprised Tsidi Tsikata (head), Manuel Rosales, Tito da Silva Filho, Jasmin Sin, Leonard Kipyegon (all AFR), Kevin Greenidge (SPR), and Alfredo Baldini (Resident Representative). Paul Mathieu (MCM, head of FSAP team) participated in the March mission. Ladslous Mwansa (Economist, Office of the Resident Representative) assisted the missions. Gillian Nkhata and Tanka Tlalima (OED) participated in the discussions in March and June, respectively. Staff met His Excellency President Edgar Lungu, Minister of Finance Felix Mutati, Bank of Zambia (BoZ) Governor Denny Kalyalya, Minister of Development Planning Lucky Mulusa, Minister of Agriculture Dora Siliya, Minister of Health Chitalu Chilufya, other senior government and BoZ officials, members of parliament, senior officials of selected parastatals, as well as representatives of the private sector, labor unions, civil society organizations, and Zambia's development partners.

CONTENTS

CONTEXT: SHOCKS, POLICIES, AND VULNERABILITIES 5

RECENT ECONOMIC DEVELOPMENTS AND NEAR-TERM OUTLOOK 7

MEDIUM-TERM OUTLOOK AND RISKS 10

POLICY DISCUSSIONS 13

A. Achieving Fiscal Fitness 13

B. Enhancing the Effectiveness of Monetary Policy 16

C. Exchange Rate Policy and Foreign Exchange Market 17

D. Safeguarding Financial Stability 18

E. External Sector Assessment 19

F. Facilitating More Inclusive Growth 20

RELATIONS WITH THE FUND 22

STAFF APPRAISAL 23

FIGURES

1. Recent Developments 25

2. Fiscal Developments 26
3. External Sector 27
4. Monetary and Financial Developments 28
5. Yields on Zambian Eurobonds and Spreads for Selected Countries 30

TABLES

1. Selected Economic Indicators, 2014–22 31
2. Fiscal Operations of Central Government, 2014–22 (Millions of Kwacha) 32
3. Fiscal Operations of Central Government, 2014–22 (Percent of GDP) 33
4. Monetary Accounts, 2014–22 34
5. Balance of Payments, 2014–22 (Millions of U.S. dollars) 35
6. Balance of Payments, 2014–22 (Percent of GDP) 36
7. Financial Soundness Indicators, 2008–17 37

ANNEXES

I. Main Recommendations of the 2015 Article IV Consultation 38
II. Risk Assessment Matrix 39
III. FSAP Key Recommendations 40
IV. External Sector Assessment 41
V. Capacity Development Strategy for FY 2018 49

CONTEXT: SHOCKS, POLICIES, AND VULNERABILITIES

1. **The Zambian economy was in near-crisis in 2015Q4 and most of 2016, reflecting the impacts of exogenous shocks and lax fiscal policy**. Low copper prices reduced export earnings and government revenues, weakening the kwacha. Poor rainfall led to a contraction in agriculture output in 2015, and to a sharp drop in hydropower generation. Severe power rationing contributed to a marked slowdown in the pace of economic activity. Government spending was significantly above budget while revenues underperformed. Tightened financing conditions during 2016 and lack of expenditure restraint in the lead up to general elections in August, resulted in the government accumulating substantial arrears.

2. **Monetary policy carried the burden of policy adjustments**. Tightening of monetary policy in 2015Q4 helped to stabilize the exchange rate and lower inflation. The ensuing liquidity crunch combined with government arrears and subdued economic activity put the financial system under considerable stress. Non-performing loans (NPLs) rose sharply, credit growth plunged, and the Bank of Zambia (BoZ) took over a small bank and intervened in three nonbanks in late 2016. Since November 2016, with inflation receding and the emergence of exchange rate appreciation pressures (reflecting capital inflows and weak demand for imports), BoZ eased monetary policy considerably by unwinding administrative and quantitative measures it employed to tighten liquidity in 2015.

3. **Public debt has been rising unsustainably**. It increased from 36 percent of GDP at end-2014 to 61 percent at end-2016. External debt now accounts for 60 percent of public debt, making the portfolio highly susceptible to exchange rate risk. Government securities account for about half of domestic debt, with commercial banks and foreign investors holding about 40 percent and 17 percent of the total, respectively. Public debt is crowding out lending to the private sector and making the economy vulnerable to capital flow reversals.

4. **The government has initiated important fiscal reforms, but is ambivalent on its commitment to debt sustainability**. It has reduced regressive subsidies in the energy sector and is implementing reforms to enhance the efficiency and focus of subsidies in the agriculture sector. However, the pace and scale of contracting new loans for capital projects—sometimes before appraisals are ready—are inconsistent with stated debt sustainability objectives.

5. **The near-term economic outlook has improved, driven by good rains and rising copper price**. A bumper harvest and increased hydro power generation are expected to boost real GDP growth to 4 percent in 2017 from 3.4 percent in 2016. Inflation is projected to remain within the authorities' target range of 6-8 percent, reflecting recent appreciation of the exchange rate. Increased foreign investor participation in the government securities auctions since late-2016 has eased the government's financing constraint and supplied foreign exchange to the domestic market. With copper accounting for about 70 percent of Zambia's export earnings, the recent increase in the world price—from about US$5,700 per metric ton in December 2016 to nearly US$6,500 in August 2017—has brightened the economy's prospects.

6. **The government has launched its Economic Stabilization and Growth Program (ESGP) and the Seventh National Development Plan (7NDP)**. The ESGP (2017-2019) aims at restoring macroeconomic stability and creating conditions for sustained growth, with a heavy emphasis on public financial management: enhancing resource mobilization, refocusing public spending on core public sector mandates, scaling up social protection programs, strengthening accountability and transparency in the use of public resources, and restoring budget credibility. The 7NDP outlines the medium-term strategy for creating jobs, encouraging economic diversification, and supporting human capital development, with the overarching objectives of reducing poverty and inequality.

7. **Rising political tensions pose risks**. Following closely contested general elections in August 2016, political tensions rose between the ruling Patriotic Front party and the main opposition United Party for National Development (UPND). Tensions heightened when the UPND leader was charged with treason and jailed in April 2017. Following mediation by national religious leaders and the Commonwealth Secretariat, the UPND leader was released in August, and the treason charges have been dropped. In response to a series of arson attacks on markets and electricity infrastructure, on July 5, 2017 President Lungu declared the existence of a situation that could degenerate into a state of emergency if not addressed.

8. **IMF staff and the Zambian authorities have held discussions on a possible Fund-supported program**. Further progress will require greater clarity on fiscal policy commitments and aligning the government's borrowing plans to achieving public debt sustainability.

9. **Implementation of past IMF policy advice has been mixed (Annex I)**. Advice on fiscal policy was not followed. Some progress was made on structural fiscal reforms, but weaknesses in commitment control persist, resulting in the accumulation of arrears. In line with staff advice, BoZ maintained a tight monetary policy stance in 2015 and most of 2016. The level of international reserves has declined, but BoZ has been opportunistically purchasing foreign exchange from the market.

RECENT ECONOMIC DEVELOPMENTS AND NEAR-TERM OUTLOOK

10. **Economic growth is beginning to recover (Figure 1 and Table 1)**. After averaging 7 percent a year during 2005-2014, real GDP growth dipped to 2.9 percent in 2015, reflecting the dampening impacts of low copper price, power rationing, government arrears, and restrictive monetary policy. Growth picked up to 3.4 percent in 2016, driven mainly by mining activities and private construction. A bumper harvest and increased hydro power generation are expected to lift growth to 4 percent in 2017.

11. **Annual inflation has fallen to single-digit levels (Figure 1)**. A doubling of the kwacha value of the US dollar—from a monthly average of K6.34/US$ in December 2014 to K12.18/US$ in November 2015—pushed inflation from 7 percent in mid-2015 to 22.9 percent in February 2016. Thereafter, inflation declined gradually to 18.9 percent in September 2016 before falling sharply in 2016Q4 as the depreciation-fueled jump dissipated. Inflation fell further to 6.3 percent in August 2017, and is projected to remain within the authorities' target (6-8 percent).

12. **BoZ has recently eased its very tight monetary policy stance (Text Table 1).** In 2015Q4, BoZ reacted strongly to the sharp kwacha depreciation and spike in inflation by raising the Policy Rate (PR), increasing the premium on the Overnight Lending Facility (OLF), restricting banks' access to the OLF to once a week, and raising the statutory reserve requirement (SRR). It mopped up liquidity further by forced sales of foreign exchange to banks. BoZ also abolished caps on interest rates that were introduced in 2012. In November 2016, against a backdrop of receding inflation and exchange rate appreciation pressures, BoZ started easing monetary conditions; it normalized OLF access, lowered the SRR, and reduced the PR and the OLF premium. In contrast to 2014 and 2015 when BoZ sold large amounts of foreign exchange to stem depreciation pressures, since 2016 it has made net purchases to rebuild international reserves.

Text Table 1. Zambia: Exchange Rate Movements and Monetary Policy Responses

	2014	2015	2016	Jan-Aug. 2017
Exchange rate movements (+ depreciation)	15.8%	69.1%	-9.9%	-7.6%
FOREX interventions (+ sales, million US$)	698.5	759.5	-340.2	-347.9
BoZ policy rate	9.75% → 12.5%	12.5% → 15.5%	No Change	15.5% → 11.0%
Reserve requirements	8.0% → 14.0%	14.0% → 18.0%	No Change	18.0% → 9.5%
Overnight Lending Facility (premium over the policy rate)[1]	250bps → 1000bps	No Change	No Change	1000bps → 600bps

Sources: Bank of Zambia and IMF staff calculations.

[1] Changes in OLF often involves also quantitative restrictions.

13. **Fiscal imbalances have remained very high (Figure 2 and Tables 2 and 3)**. In 2015, the fiscal deficit on a cash basis reached 9.3 percent of GDP compared to 4.6 percent budgeted, due to shortfalls in revenue, spending overruns on subsidies, and a larger interest bill than budgeted. Net accumulation of arrears and clearance of VAT refund claims totaled 2.8 percent of GDP, pushing the deficit on a commitment basis to 12.1 percent of GDP. The cash deficit was financed mainly with proceeds from Eurobonds placed in July 2015. In 2016, the fiscal deficit on a cash basis was 5.8 percent of GDP (compared to 3.3 percent in the budget), driven by shortfalls in VAT collections and customs duties, and overruns on subsidies. The deficit on a commitment basis reached 8.6 percent of GDP.

14. **The government faced tight financing constraints during most of 2016**. It had difficulty rolling over maturing securities as liquidity was scarce. It turned to BoZ which provided financing beyond the legal limit.[1] The situation improved in 2016Q4 following the easing of monetary policy and the return of foreign investors—drawn by high real yields—to the government securities market.

15. **Fiscal performance in 2017 is projected to fall slightly short of budget estimates**. The 2017 budget targeted a cash deficit of 7 percent of GDP (5.5 percent of GDP on a commitment basis), based on optimistic revenue projections (including high yields from administrative measures) and under-budgeting of some expenditures (the operations of the Food Reserve Agency (FRA), wages). Reacting to indications of revenue underperformance early in the year, the authorities introduced a tax amnesty in April, under which penalties and interest on back taxes were waived. It is expected to yield 1.2 percent of GDP, much more than initially projected. Half of the estimated proceeds are expected to be collected in 2017, and the other half in 2018. Notwithstanding the improved outlook for revenues, staff projects a cash deficit around 8 percent of GDP due to unbudgeted and under-budgeted lines (Table 3).

16. **Public debt has risen sharply since 2011, driven mainly by external debt and a sharp depreciation of the kwacha in 2015 (Figure 2)**. Public debt tripled from 21 percent of GDP at end-2011 to 60.5 percent of GDP at end-2016. External debt quadrupled to US$8 billion (36.5 percent of GDP) at end-2016, including US$3 billion in Eurobonds, compared to US$1.9 billion (8 percent of GDP) at end-2011, and now accounts for 60 percent of total public debt. Also of concern is the fast pace at which new debt is being contracted (Text Table 2).

[1] In the BoZ Act, direct lending to government is limited to the equivalent of 15 percent of the previous year's domestic revenue.

Text Table 2. Zambia: Evolution of Public and Publicly Guaranteed External Debt
(Millions of U.S. dollars)

	2010	2011	2012	2013	2014	2015	2016
Public and publicly guaranteed							
Stock of Outstanding debt	**1,481**	**1,868**	**3,491**	**3,801**	**5,263**	**7,193**	**7,992**
Central Government[1]							
Stock of Outstanding debt	**1,088**	**1,448**	**2,954**	**3,092**	**4,335**	**6,283**	**7,038**
Disbursements	161	397	1,157	224	1,372	1,965	864
EuroBond			750		1,000	1,250	
Budget support	69	30	52	0	0	0	0
Project support	92	367	355	224	372	715	864
of which: on-lending						*140*	*418*
Amortization	39	26	235	119	102	145	154
BoZ							
Stock of Outstanding debt	**393**	**419**	**406**	**387**	**333**	**257**	**182**
Disbursements	56	29	0	0	0	0	0
Amortization	1	5	12	18	35	61	69
Publicly guaranteed							
Stock of Outstanding debt			**131**	**322**	**594**	**653**	**771**
Disbursements			131	207	298	101	181
Amortization			0	16	26	43	62
Memo:							
Value of New loans contracted (US$ millions)	727	505	1,308	1,249	1,576	2,215	3,447
Cumulative Value of New loans contracted (US$ millions)		1,232	2,540	3,789	5,364	7,579	11,026
Number of loans contracted in year	13	5	4	13	9	12	30

Source: Zambian authorities.

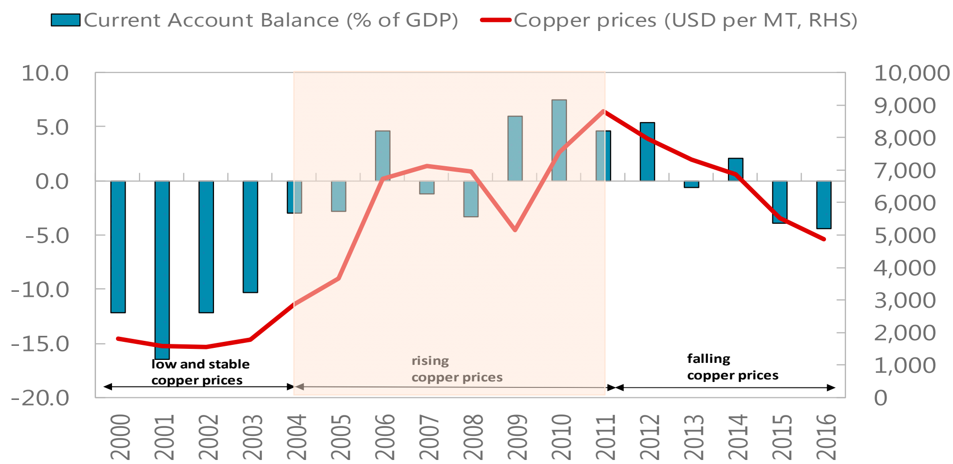
[1] Data for 2016 excludes US$420 million arrears to PTA Bank.

17. **Monetary conditions remain tight and an unbalanced policy mix has placed the financial system under considerable stress**. Very tight liquidity conditions caused funding costs to soar and lending rates to reach levels above 40 percent in 2016. Economic activity, already hit by electricity shortages and mounting government arrears to private contractors, weakened further due to high funding costs, leading to a sharp rise in NPLs—from 6 percent of outstanding loans at the end of 2014 to 12 percent in July 2017 (Table 7). The increase in NPLs across banks has been greatly heterogeneous, with a handful of banks accounting for most of the increase in the average for the system. Rising NPLs, high macroeconomic uncertainty, and very high lending rates led to a sharp reduction in credit growth (Figure 4a and 4b). While the OIR and yields on government securities have fallen as liquidity increased, lending rates have barely moved; the average annual real lending rate for the banking system is about 20 percent. BoZ took over a small bank and intervened three nonbanks in 2016. Other small banks and several non-bank financial institutions face challenging conditions.

18. **The external position has been under pressure from low copper price (Text Figure 1)**. The current account balance turned from a 2.1 percent of GDP surplus in 2014 to a 3.9 percent of GDP deficit in 2015 and 4.4 percent of GDP in 2016, reflecting lower copper export earnings

and higher interest payments. Despite the large currency depreciation in late-2015, imports in 2016 fell by only 12 percent due to higher imports of fuel and electricity to cope with the shortages in the domestic power supply. Gross international reserves declined to US$2.4 billion at end-2016 (3⅓ months of import cover) compared to nearly US$3 billion at the end of 2015 (4.5 months of import cover). With copper accounting for about 70 percent of Zambia's export earnings, the recent steady increase in the world price has brightened prospects in the mining and external sectors, with positive spillovers to other sectors.

Text Figure 1. Zambia: Current Account Balance and Copper Prices



Sources: Bank of Zambia and IMF staff estimates

19. **The spreads on Zambia's Eurobonds have narrowed significantly (Figure 5)**. The Eurobonds traded on the secondary market at substantial spreads over U.S. treasury bonds of comparable tenor for most of 2015, but the spreads narrowed significantly in 2016Q4 and early 2017. The movement in spreads also occurred in other sovereigns, indicating that common market factors were at play.

MEDIUM-TERM OUTLOOK AND RISKS

20. **The medium-term economic outlook is contingent on policy actions.** Zambia has great potential, based on its abundant natural resources (e.g., minerals, fertile lands, and water resources). However, returning to high growth requires stable policies and reforms to increase productivity and enhance competitiveness.

21. **In view of significant uncertainties, two macroeconomic scenarios are presented (Text Tables 3 and 4)**. A "baseline" or "current policies" scenario assumes that the authorities will pursue a more gradual fiscal consolidation path than that outlined in the 2017 budget, including a larger public investment plan funded by external loans. Additional financing needs emerge for domestic borrowing, including to cover government's contribution to projects that are funded predominantly with external resources. The second scenario, "adjustment policies", assumes that the

authorities prioritize infrastructure projects in line with absorptive capacity and the need to put public debt indicators on a downward path. Growth in the baseline scenario is projected to be lower than in the adjustment scenario due to government borrowing crowding-out lending to the private sector, slower pace of clearance of government arrears, and lower non-mining private investment. Inflation is projected to be somewhat higher over the medium-term in the baseline scenario reflecting delays in fiscal consolidation and larger depreciation pressures on the exchange rate.

Text Table 3. Zambia: Selected Economic Indicators

	2014	2015	2016	Baseline						Adjustment					
			prel.	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
Real GDP growth (%)	4.7	2.9	3.4	4.0	4.5	4.5	4.5	4.5	4.5	4.0	4.5	5.0	5.5	5.5	5.5
Inflation (y-o-y, %, end-period)	7.9	21.1	7.5	5.8	8.0	8.0	8.0	8.0	8.0	5.8	6.5	6.0	6.0	6.0	6.0
Overall balance (cash basis, % of GDP)	-5.7	-9.3	-5.8	-8.0	-7.8	-7.2	-6.5	-5.3	-4.3	-7.3	-5.9	-3.9	-3.1	-2.3	-2.0
Overall balance (committment)[1]	-9.8	-12.1	-8.6	-5.6	-6.8	-6.5	-5.5	-5.1	-4.3	-4.9	-4.2	-2.9	-2.1	-2.3	-2.0
External current account balance (% of GDP)	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
Gross international reserves															
US$ billions	3.1	3.0	2.4	2.2	2.6	3.0	3.2	3.7	4.3	2.4	2.8	2.9	3.2	3.7	4.4
Months of prospective imports	4.2	4.5	3.1	2.5	2.8	3.1	3.0	3.2	3.3	2.8	3.1	3.1	3.1	3.4	3.5
Public debt[2]	35.6	61.4	60.5	55.6	60.0	62.4	63.3	64.0	63.1	54.9	56.1	54.7	53.1	51.4	49.1
External[2]	20.1	43.1	36.5	32.9	37.3	40.4	42.4	42.6	41.4	33.0	35.4	35.6	35.1	33.9	32.5
Copper price (US$/tonne)	6,863	5,510	4,868	6,030	6,430	6,462	6,471	6,469	6,469	6,030	6,430	6,462	6,471	6,469	6,469
Oil price (US$/barrel)	96	51	43	50	50	51	51	52	53	50	50	51	51	52	53

Sources: Zambian authorities; and IMF staff estimates and projections.

[1] Adjusted for the accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment projects, and pensions.

[2] Includes public and publicly guaranteed external debt.

Text Table 4. Zambia: Fiscal Operations of the Central Government, 2014–22

(Percent of GDP)

	2014	2015	2016		2017	Baseline						Adjustment					
			Budget	Prel.	Budget	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
Revenue	18.9	18.8	20.7	18.2	19.4	17.3	18.4	18.4	18.9	19.4	19.6	17.3	18.3	18.4	19.0	19.5	19.5
Of which: One-off receipts	0.0	0.1	0.0	1.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
VAT refunds (+ accumulation)	1.8	-0.2	0.0	-0.5	0.0	-0.5	-0.3	-0.3	-0.1	0.0	0.0	-0.5	-0.3	-0.3	-0.1	0.0	0.0
Adjusted revenues	17.1	19.0	20.7	18.7	19.4	17.8	18.7	18.7	19.1	19.4	19.6	17.8	18.6	18.6	19.2	19.5	19.5
Expenditure	27.0	31.1	24.0	27.2	25.0	23.4	25.4	25.1	24.4	24.5	23.7	22.7	22.9	21.6	21.3	21.8	21.5
Current	21.7	22.7	19.7	22.5	19.8	18.5	18.6	18.2	18.0	17.8	17.7	18.5	18.3	17.6	17.5	17.1	16.7
Of which: Arrears (+ accumulation)	2.4	1.3	0.0	2.3	-1.4	-1.5	-0.3	-0.1	-0.2	-0.3	-0.2	-1.5	-0.9	-0.3	0.0	0.0	0.0
Capital	5.3	8.4	4.3	4.8	5.2	4.9	6.8	6.9	6.4	6.7	6.0	4.2	4.6	4.0	3.8	4.7	4.8
Of which: Arrears (+ accumulation)	0.0	1.7	0.0	1.0	0.0	-0.4	-0.4	-0.4	-0.8	0.0	0.0	-0.4	-0.4	-0.4	-0.8	0.0	0.0
Overall balance, (committment)[1]	-9.8	-12.1	-3.3	-8.6	-5.5	-5.6	-6.8	-6.5	-5.5	-5.1	-4.3	-4.9	-4.2	-2.9	-2.1	-2.3	-2.0
Primary balance (committment)[1]	-7.6	-9.3	0.1	-5.2	-1.9	-2.0	-2.8	-2.5	-1.6	-1.3	-0.5	-1.3	-0.4	0.7	1.3	0.9	1.0
Deficit (cash basis)	-5.7	-9.3	-3.3	-5.8	-7.0	-8.0	-7.8	-7.2	-6.5	-5.3	-4.3	-7.3	-5.9	-3.9	-3.1	-2.3	-2.0
Primary balance (cash basis)	-3.5	-6.5	0.1	-2.3	-3.3	-4.3	-3.8	-3.2	-2.7	-1.6	-0.5	-3.7	-2.0	-0.3	0.3	0.9	1.0

Sources: Zambian authorities; and IMF staff estimates and projections.

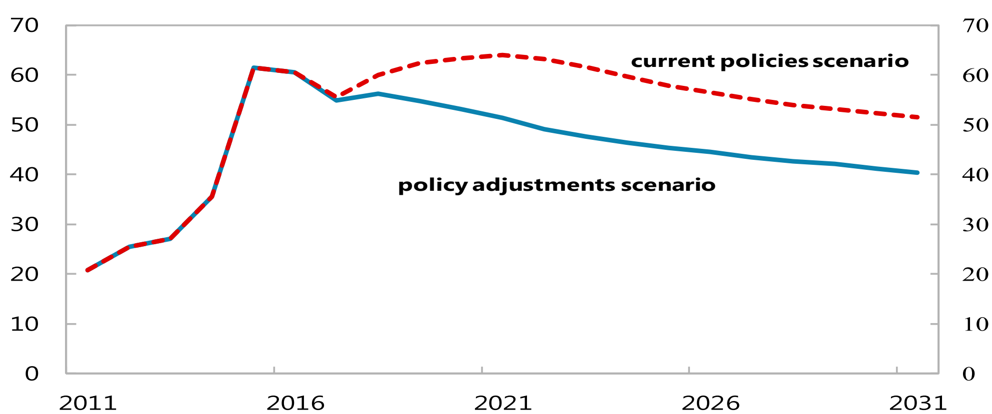
[1] Adjusted for the accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment projects, and pensions.

22. **The external position improves at a more gradual pace under the current policies scenario.** Exports earnings are projected to recover driven by the pick-up in copper prices, while lower electricity imports partially offset the higher imports associated with public sector capital projects. Foreign exchange reserves are projected to increase gradually to 3-3½ months of import cover under both scenarios, underscoring the need for structural reforms to support export growth and diversification.

23. **Zambia is assessed to be at high risk of debt distress based on a full LIC-DSA prepared by Fund and World Bank staff (Text Figure 2)**. Under "current policies", the present value (PV) of external debt-to-GDP ratio breaches its threshold (40 percent) during 2019-23, while the PV of debt service to revenue ratio breaches its threshold (20 percent) in 2022 and 2024 when Eurobonds mature. Sensitivity analyses indicate that all indicators breach relevant thresholds in the face of shocks related to export earnings, growth and the exchange rate. Debt dynamics improve substantially under the "adjustment" scenario; the PV of external debt-to-GDP remains below the 40 percent threshold throughout the projection horizon, but the debt-service-to-revenue ratio temporarily breaches the threshold in years when Eurobonds mature. The DSA suggests that Zambia would return to a moderate risk rating if the authorities restrain non-concessional borrowing and implement measures to achieve the fiscal consolidation path consistent with the adjustment policies scenario.

24. **Analysis of total public debt indicates a heightened level of vulnerabilities under current policies.** Total public debt is projected to exceed the benchmark level (56 percent of GDP) associated with heightened vulnerabilities for medium performers (the relevant group for Zambia) over an extended period. Under the adjustment scenario, characterized by improving primary balances, public debt declines steadily after 2018, falling below the benchmark level from 2019.

Text Figure 2. Zambia: Evolution of Public Sector Debt under Alternative Scenarios
(Percent of GDP)



Sources: Zambian authorities and IMF staff estimates and projections

25. **Risks to the medium-term outlook (Annex II)**. Domestic risks include delayed fiscal adjustment, policy inconsistencies, and rising political tensions. Delayed fiscal adjustment increases

the risks of an unsustainable debt path and capital flow reversal. Sharply rising domestic debt would crowd out credit to the private sector, harming growth. Policy inconsistencies and rising political tension deter investment and growth. The Zambian economy is vulnerable to exogenous shocks, including from volatile global financial conditions, fluctuations in the world copper price, and droughts. In view of the current large fiscal deficits and modest level of international reserves, materialization of these risks could impact investors' sentiment, resulting in capital outflows and much slower growth and higher inflation than indicated under the current policies scenario.

POLICY DISCUSSIONS

A. Achieving Fiscal Fitness

"We cannot spend what we do not have. We cannot borrow beyond our ability to repay." 2017 Budget Speech.

26. **Improved fiscal performance is needed to put public finances and debt on a sustainable path (Text Table 4)**. Achieving "fiscal fitness" requires boosting domestic revenue mobilization, reining in recurrent spending, and effective prioritization of public investment taking into consideration the country's absorptive capacity and the authorities' objective of lowering the risk of debt distress from high to moderate.

27. **Staff advised that fiscal policies over the medium-term be anchored on the primary balance on a commitment basis.** Consistent with the authorities' objective of reducing Zambia's risk of debt distress from high to moderate, staff stressed that the primary balance on a commitment basis should target a 4 percent of GDP adjustment in 2017 followed by a 1 percent of GDP improvement over the next two years. This would result in a primary surplus of about 0.7 percent of GDP by 2019, in contrast to the 2.5 percent primary deficit projected under the current policies scenario.

Revenue Mobilization

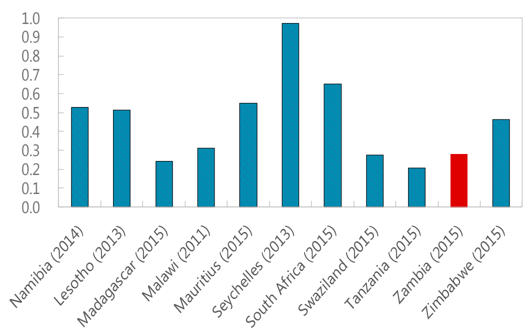
28. **Zambia's domestic revenue mobilization is lagging behind peers**. Fund staff stressed that Zambia's VAT efficiency[2] and corporate income tax productivity[3] are well below SADC comparators due to widespread tax incentives, a multitude of income tax rates, and the extension of zero-rating to non-exportable goods, and broad exemptions (Text Figures 3 and 4). Given projected revenue shortfalls in 2017, staff urged the authorities to fully implement measures already approved by parliament including on land titling, and to speed up the introduction of fiscal devices aimed at improving the monitoring of tax compliance. Staff indicated that priority should be given

[2] VAT C efficiency is defined as actual VAT collections as the share of its potential base. See SIP on Fiscal Sustainability,

[3] CIT productivity is defined as the tax yield in percent of GDP relative to the standard CIT rate.

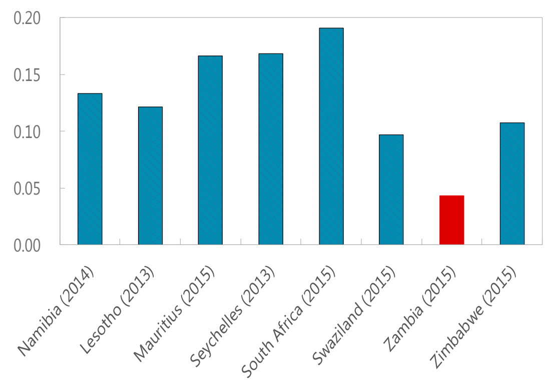
to cleaning the taxpayer database, strengthening tax-auditing capacity, and enhancing the monitoring of high income taxpayers.

Text Figure 3. VAT C-Efficiency SADC Comparators, Latest Year of Actual Data Available



Sources: IMF Fiscal Affairs Department.

Text Figure 4. CIT Productivity SADC Comparators, Latest Year of Actual Data Available



Sources: IMF Fiscal Affairs Department.

29. **Authorities' views**. The authorities agreed with staff's assessment and indicated that they have taken measures to increase tax compliance by appointing as VAT withholding agents, key players in the mining and construction sector. They noted that substantive progress has been made toward implementing measures already approved by parliament which would start yielding results in the second half of 2017. To partially offset the revenue shortfall, the authorities launched the tax amnesty (April 20-September 15) which is yielding good results.

Expenditure Measures

30. **The authorities are taking strong measures to address the sources of spending overruns**. In October 2016, fuel prices were adjusted to full-cost recovery levels. Since then, the Energy Regulatory Board (ERB) lowered pump prices in January and August 2017 in line with declining world oil prices and kwacha appreciation. Staff urged the authorities to continue adhering to the cost-recovery policy going forward to avoid the reemergence of fuel subsidies and pressures on the budget, noting the highly regressive nature of these subsidies as highlighted in a recent incidence analysis prepared by staff (Text Figure 5).[4]

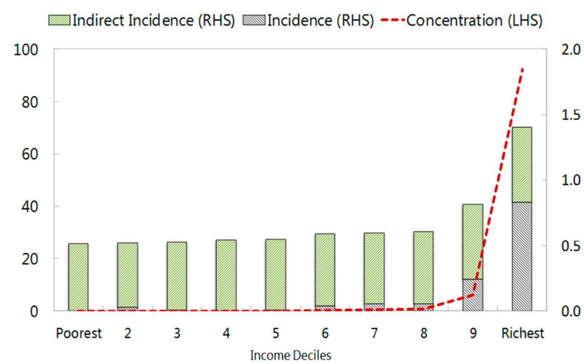
31. **A plan to reduce electricity subsidies is in place.** The government has commissioned a cost of service study which will provide a framework for moving to cost-reflective electricity tariffs. The study is expected to be completed in early-2018. Meanwhile, electricity tariffs to non-mining consumers were recently hiked by 75 percent in two-steps: a 50 percent increase on May 15, and a second adjustment (16 percent increase) on September 1. Staff estimates the effective average tariff increase at about 48 percent, reflecting the increase in the lifeline threshold from 100 kwh to 200 kwh. For the mining companies, the authorities have recently negotiated an increase in the

[4] See SIP on Distributional Impact of Subsidies and Proposed Reforms.

average tariff (across companies) from less than US$0.06/kwh to US$0.093/kwh, effective (retroactively) from January 2017. Staff estimates based on information from ZESCO (the state-owned electricity utility) suggest that with the current adjustments, there should no longer be a need for the government budget to subsidize electricity tariffs.

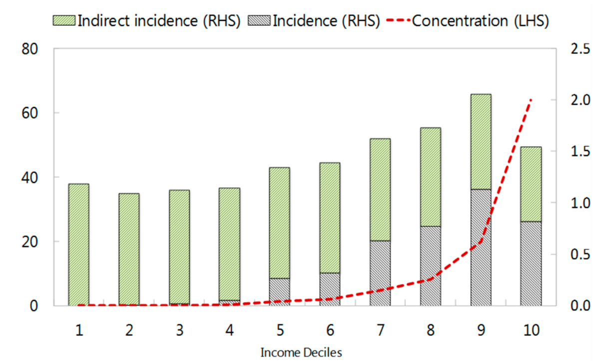
32. **Staff expressed concern about the doubling of the lifeline threshold, done ostensibly to protect the poor.** Staff noted that the new level is much higher than in Zambia's peer countries, and most of the poor are not connected to the grid. Staff presented results from its recent incidence analysis which indicates that 84 percent of electricity subsidies accrue to the richest 20 percent households in Zambia (Text Figure 6).[5]

Text Figure 5. Zambia: Fuel Subsidy Concentration and Incidence



Sources: 2015 Living Conditions Monitoring Survey; Commitment to Equity Institute; and IMF staff calculations.

Text Figure 6. Zambia: Electricity Subsidy Concentration and Incidence



Sources: Living Conditions Monitoring Survey; Commitment to Equity Institute; and IMF staff calculations.

33. **Subsidies in the agriculture sector are also being reformed**. In line with the policies stated in the 2017 Budget Speech, the government is reforming the Farmer Input Support Program (FISP) by fully migrating to an E-voucher system, which will reduce substantially the program's operational costs, broaden the range and sources of inputs, and rationalize the number of beneficiaries by stricter application of the eligibility criteria. The government announced that with effect from the 2017 marketing season, purchases of maize by the Food Reserve Agency (FRA) will be limited to 500,000 metric tons, in line with Zambia's strategic food reserves requirement. This will curtail the role FRA has played in the marketing of maize in recent years—buying maize above prevailing market prices at harvest time and selling below market prices in the lean season—leaving room for greater private sector participation.

34. **Authorities' views.** The authorities expressed their commitment to adhere to the cost-plus model for setting fuel prices. On electricity, they expect the results of an on-going cost of service study to guide the setting of cost-reflective tariffs. On FISP, they indicated that preparations were on track for the full migration to the e-voucher system in the 2017/18 season.

[5] See SIP on Distributional Impact of Subsidies and Proposed Reforms.

Arrears Clearance Strategy

35. **Staff highlighted the negative economic impact of government arrears**. Delays in government payments contributed to slowing down economic activity and a significant rise in banking NPLs. They also contributed to revenue underperformance as taxpayers were running arrears with the revenue authority due to delays in getting paid by the government.

36. **The government has started to clear the stock of arrears**. Staff welcomed the authorities' plan to reduce the stock by 2 percent of GDP in 2017. Preliminary information shows that as of end-June 2017, arrears totaling 1.1 percent of GDP had been cleared. Additionally, the backlog of VAT refund claims is being addressed and as of end-April 2017 the backlog stood at K2.9 billion compared to K6.3 billion as of end-February 2015.

37. **Authorities' views**. The authorities agreed with staff's assessment. They plan to clear the stock of arrears over the next three years. However, this would be difficult to achieve under current policies, given the need to make room for additional capital spending.

Public Financial Management

38. **The government is taking steps to strengthen commitment control and the legal framework for managing public finances**. Staff welcomes the heightened attention and efforts underway to strengthen the legal framework for managing public resources, including the introduction of the Planning and Budgeting Bill, and amendments to the Public Finance and Public Procurement Acts. Staff urged the authorities to continue strengthening their public debt management capacity to put public debt on a sustainable path.

39. **Staff urged the authorities to strengthen the public investment cycle**. Public investment projects should be prioritized in line with Zambia's developmental needs while ensuring public debt sustainability. Staff stressed the need for feasibility studies before public projects are included in the budget.

40. **Authorities views**. To strengthen commitment controls, the authorities are rolling out the IFMIS to all central government institutions in 2017. Additionally, they plan to fully rollout the Treasury Single Account to help improve liquidity management. They welcomed the findings and key recommendations of a recent Public Investment Management Assessment (PIMA) mission from the Fund and expressed their commitment to draw on this to strengthen the planning and execution of public infrastructure projects. They agreed to strengthen project selection with a view to align projects with the 7NDP and the ESGP and enhance the procurement and execution processes with a view to ensure value for money.

B. Enhancing the Effectiveness of Monetary Policy

41. **The BoZ has faced several challenges transitioning to a more forward-looking Monetary Policy Framework (MPF)**. In April 2012, it introduced a new MPF under which the Policy

Rate (PR) was expected to be the principal instrument for signaling the monetary policy stance. For the first two years, BoZ implemented the new framework faithfully. However, during two extended periods in 2014-16, it allowed the interbank overnight rate (IOR) to deviate substantially from the PR. Instead of hiking the PR, BoZ relied heavily on quantitative and administrative measures to constrain liquidity. The choice appears to have been influenced by political pressures on BoZ to lower interest rates at a time of loose fiscal policy and depreciation pressures on the exchange rate. The move away from using the PR blurred monetary policy signals and undercut the credibility of the new framework. Recent measures such as lifting the cap on lending rates and improved liquidity management within a narrow PR corridor have strengthened the MPF and made MP more transparent. Going forward, fiscal policy prudence will be necessary in supporting the MPF.

42. **To strengthen the MPF, staff advised the authorities to:**[6]

- Grant BoZ formal operational independence to pursue price stability as its primary mandate.
- Strengthen open market operations as the main instrument of monetary policy.
- Formalize the policy rate corridor by introducing deposit and lending standing facilities to keep the IOR inside the policy corridor.
- Separate liquidity management from access to standing liquidity facilities to banks.
- Continue reducing SRRs as part of BoZ's move to greater reliance on market- and price-based instruments. Unremunerated SRR are an implicit tax on the financial system, which increases the cost of credit and hinders financial development.

43. **Authorities' views.** BoZ acknowledged the need to strengthen the MPF. In line with staff suggestions, BoZ reduced the width of the PR corridor, enhancing policy transparency and predictability, and increased the use of OMOs for liquidity management. It indicated that it would seek technical assistance to review the issues around formalizing the policy corridor before taking a decision.

C. Exchange Rate Policy and Foreign Exchange Market

44. **The Interbank Foreign Exchange Market (IFEM), which had functioned effectively for many years, came under enormous pressure in 2015, largely reflecting the impact of significantly reduced FX inflows.** The strong reaction of the BoZ to the sharp depreciation of the Kwacha in the second half of 2015-including forcing banks deemed to be speculating to buy large amounts of FX, and closely monitoring individual banks transactions-appears to have produced lasting effects on the functioning of IFEM. Since 2016, the average volume of transactions in IFEM has plunged to 15 percent of the volume observed in 2014 and 2015. However, the FX retail

[6] See SIP on Modernizing the Monetary Policy Framework.

market seems to be functioning normally; importantly, there is no evidence of FX shortages or long waiting time to get FX for current international transactions, or of the emergence of a parallel market.

45. **Staff advised the authorities to:**

- Limit intervention in FX market to smoothing excessive volatility and opportunistically rebuilding reserves.
- Let market forces determine the bid-offer spread in IFEM. The market needs to know that spreads and volumes can be adapted flexibly when needed; this will not be the case if flexibility is at the discretion of the BoZ and its use is uncertain.

46. **Authorities' views:** BoZ indicated that it is committed to a flexible exchange rate policy, with intervention in the market aimed at smoothing volatility and building international reserves when the opportunity arises. It has taken advantage of the recent trend of appreciation of the kwacha to rebuild reserves. BoZ and the Bankers Association of Zambia are collaborating in reviewing the IFEM framework to make it more resilient to liquidity shocks.

D. Safeguarding Financial Stability

47. **Despite the deterioration in asset quality and declining profitability, reported financial soundness indicators suggest that banks remain well capitalized overall**. However, several small banks are under pressure. FSAP stress tests suggest that the system is resilient to credit stress but vulnerable to moderate liquidity stress.

48. **The FSAP found that supervision was not fully effective and that a weak crisis management framework and lack of resolution funding mechanisms resulted in an overuse of forbearance**. An increasingly out-of-date legal and regulatory framework, data limitations and an under resourced supervisor has undermined the effectiveness of financial supervision. Inadequate supervisory resources (staffing, expertise, and information technology) has led to large gaps in onsite inspections. Insufficient analytical content in offsite supervision reports hinder the effectiveness of risk assessment and onsite inspections. Troubled banks have accessed the emergency liquidity assistance (ELA) instrument, reflecting weak limitations and safeguards on its use. The main FSAP recommendations (Annex III) include:

- Upgrade the banking, BoZ and other financial sector laws to improve: licensing; risk-based consolidated supervision; intervention; crisis management and resolution powers across the financial sector.
- Hire more supervisors and complete onsite inspections of all banks over the next 12–18 months.
- Strengthen ELA regulations to establish adequate statutory safeguards to prevent BoZ from providing solvency support.

- Start work on a deposit protection scheme that meets international norms; to be introduced when necessary preconditions (including an effective resolution regime) are in place.

49. **Authorities' views:** BoZ agreed with the FSAP findings and is taking several actions to start addressing the issues raised by the FSAP. The Banking and Financial Services Act (BFSA) has been signed by the President and BoZ is drafting the regulations to operationalize it. The BoZ Act is being revised and BoZ indicated that it will seek comments from Fund staff before it is sent to Parliament. To strengthen supervision, BoZ is hiring and training new staff. It has also developed a schedule for full onsite examination of all banks by end-2018. BoZ plans to implement a deposit insurance scheme, with technical assistance from the Fund.

E. External Sector Assessment

50. **The Fund's EBA-lite methodologies suggest that Zambia's external position is broadly consistent with fundamentals (Annex IV)**. The kwacha lost half of its value against the U.S. dollar in 2015. Due to a large inflation differential vis-à-vis Zambia's trade partners, the depreciation in the real effective exchange rate (REER) has been considerably less than that in the nominal effective exchange rate. The REER has appreciated thus far in 2017, but does not seem out of line with the recent increase in the copper price.

51. **According to the Fund's cost-benefit approach, Zambia's international reserves are assessed to be below adequate levels**. International reserves have taken a hit since the issuance of a US$1.25 billion Eurobond in 2015, the third issuance in a 4-year period, and is assessed as below an adequate level as at end-2016. Staff advised the authorities to build reserves to a level of at least 4-4½ months of imports over the medium-term.

52. **The need for diversification of the economy and export base remains a serious challenge**. An analysis of non-price indicators underscores significant competitiveness weakness. Attaining the diversification objective requires improvement in the business climate to boost competitiveness and help attract investment beyond copper mining. Zambia's ranking in the World Bank Doing Business indicators has deteriorated, from 83 (out of 189) in 2014 to 98 (out of 190) in 2017. Areas in need of improvement include electricity supply, trading across borders, registering property, and policy consistency. The government needs to enhance its budget spending efficiency to support investment in human capital and physical infrastructure.

53. **The authorities have initiated some measures towards improving the business climate**. These include passage of a law on the use of moveable collateral to improve access to finance. Policy consistency in the agriculture sector such as avoiding export bans of maize and allowing prices to reflect market conditions could attract private investments to take advantage of potential market from the surrounding countries with maize deficits. In addition, the move towards cost reflective electricity tariffs would attract private investments in the sector boosting domestic power supply. Enhancing transparency in petroleum product procurement and pricing, and improving efficiency to cut the underlying cost of supplying fuels would enhance competitiveness

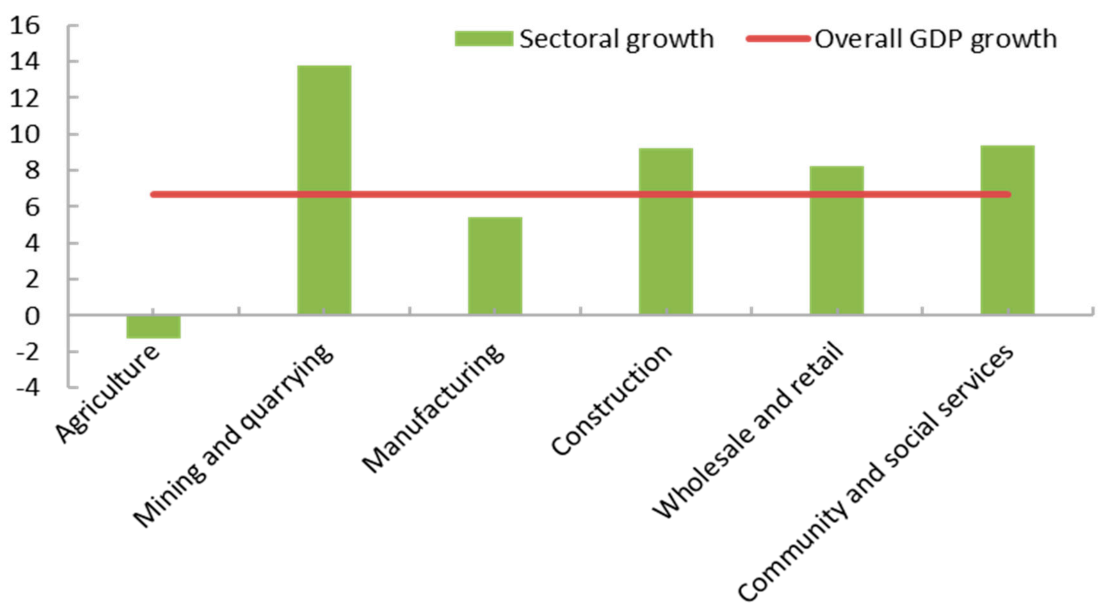
of the Zambia's economy. Increased consultation with stakeholders on a stable mining tax regime is expected to boost investment in the sector and promote value addition.

54. **Authorities' views**. The authorities broadly agreed with staff's assessment of the external balance and the exchange rate. They underscored the government's priority of improving physical infrastructure such as in electricity which has been a bottleneck to growth. The recent move toward cost-reflective electricity tariffs is aimed at attracting private investment into the sector. The government also plans to withdraw from the procurement of refined petroleum products, not only to reduce fiscal risks, but also to improve efficiency and reliability of supply.

F. Facilitating More Inclusive Growth

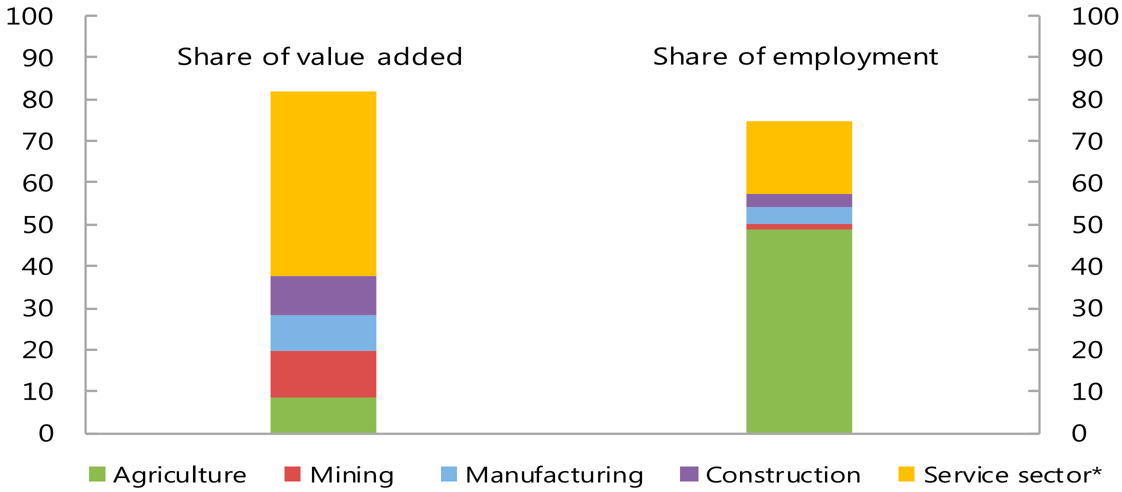
55. **Zambia recorded strong average annual growth in the past decade and a half**. At an annual average of 6.7 percent during 2001-15, Zambia's growth rate was higher than the Sub-Saharan Africa average (5.5 percent). The mining sector grew faster than other major sectors (Text Figure 7). Agriculture which employs by far the most people (Text Figure 8), contracted by an annual average of about 1 percent.

Text Figure 7. Average Annual Growth for the Largest 6 Sectors, 2001–2015
(Percent)



Note: The largest 6 sectors constitute more than 70 percent of overall GDP.
Sources: CSO and staff estimates

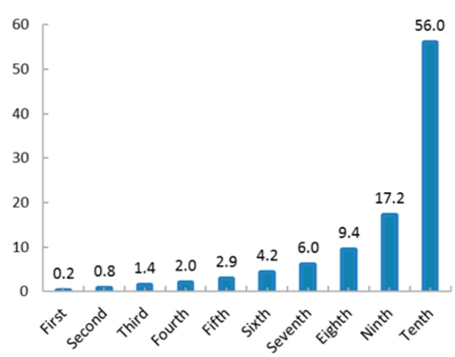
Text Figure 8. Share of Value-Added vs Share of Employment
(Percent)



* Service sector includes wholesale and retail, accommodation and food services, information and communication, transportation, real estate, finance and insurance, professional and administrative services.

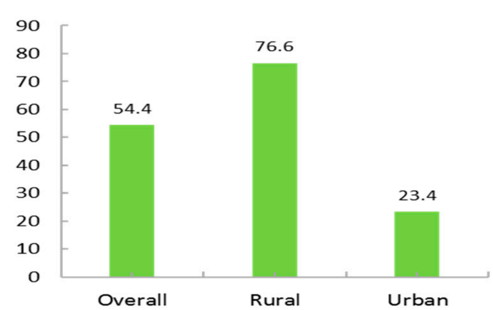
56. **Income distribution is highly skewed and poverty remains high.** The 2015 Living Conditions Monitoring Survey (LCMS) showed that the top 10 percent of households accounted for more than half of total national income, while the bottom 50 percent of households accounted for less than 10 percent of national income (Text Figure 9). The Gini coefficient is estimated to have worsened from 0.65 in 2010 to 0.69 in 2015. The LCMS also reported an overall poverty rate of 54 percent in 2015, with a sharp divide between rural (76 percent) and urban (24 percent) areas (Text Figure 10).

Text Figure 9. Share of Income by Decile, 2015
(Percent)



Source: CSO Living Conditions Monitoring Survey 2015

Text Figure 10. Population Living in Poverty, 2015,
(Percent)



Source: CSO Living Conditions Monitoring Survey 2015

57. **To achieve inclusive growth, the authorities should focus on stable policies, improving the investment climate, promoting productivity growth, increasing financial inclusion, and strengthening the country's human capital.**[7] Periodic trade bans (e.g., on maize exports), and market distortions caused by FRA pricing and procurement policies in recent years have discouraged private investment in commercial maize production. The government is preparing a National Financial Inclusion Strategy to address obstacles to accessing finance, especially by small and medium-size enterprises. The World Bank is providing training to financial institutions on the use of movable collateral for credit decision making. Investments in education and health are key to prepare the labor force for productive employment. Given limited resources, increasing the efficiency of public spending would help create space for human capital development.

58. **Authorities views**. The 7NDP lays out the government's strategy for promoting inclusive growth over the medium-term (2017–2022). It identifies the agriculture and mining sectors as having high potential for value addition to boost industrialization and job creation. They also view tourism as having high potential to generate jobs and boost incomes. Measures to promote the development of livestock and fisheries industries will help diversify the agriculture sector. The full migration of FISP to the e-voucher system would help diversify agriculture beyond maize production. The government aims to diversify the mining sector beyond copper by promoting the mining of gemstones and industrial minerals. To address infrastructure bottlenecks, 7NDP identifies improvements in energy supply and transportation infrastructure as development priorities. The 7NDP also identifies measures that promote human capital development, including strengthening the healthcare system through capacity development of the health workforce, and increasing access to quality education through the provision of the required infrastructure and teacher training.

RELATIONS WITH THE FUND

59. **Data provision has some shortcomings but is broadly adequate for surveillance purposes**. Staff encourages the authorities to make further progress in the context of dissemination of data under the e-GDDS, by updating data more regularly and increasing the categories of data disseminated through Zambia's National Summary Data Page.

60. **The Fund provides capacity development to Zambia through targeted technical assistance and training (Annex V)**. Current priorities include assistance to: enhance domestic revenue mobilization (revenue and customs administration); strengthen public financial management (budget controls and execution); strengthen financial supervision; enhance the effectiveness of monetary policy and operations; and improve the compilation and dissemination of statistics to inform policy analysis and implementation.

[7] IMF (2013), "Jobs and Growth: Analytical and Operational Considerations for the Fund", IMF Policy Paper, Washington DC: International Monetary Fund.

STAFF APPRAISAL

61. **An unbalanced response to the shocks that hit the economy in 2015-16 exacerbated their adverse impact**. Tight monetary policy succeeded in stabilizing the exchange rate and slowing down inflation, but contributed to elevated stress in the financial system. The recent easing of monetary policy has been appropriate but cannot be sustained if fiscal policy remains lax.

62. **The economy has started recovering from the slowdown, thanks in part to good rains and rising copper prices.** The authorities should take advantage of the current favorable environment to reduce the fiscal deficit and build international reserves to make the economy more resilient to future adverse shocks.

63. **The government has initiated some bold fiscal measures, but doubts remain about its commitment to fiscal consolidation.** It has made impressive moves toward phasing out subsidies in the energy sector, as well as implementing a more cost-effective subsidy in support of the agriculture sector. Full implementation of these measures would represent major accomplishments in addressing key sources of budget pressure in recent years. However, the pace and haste with which new loans for infrastructure are being contracted undermine the government's stated fiscal and debt sustainability objectives.

64. **Public debt is increasing at an unsustainable pace, crowding out credit to the private sector and making the economy more vulnerable to capital outflows**. Staff recommends that the government restrain its spending commitments and redouble efforts to mobilize domestic revenues.

65. **BoZ's recent unwinding of quantitative and administrative measures is welcome, as is its re-commitment to greater reliance on interest rates and market-based mechanisms to steer monetary policy**. Staff encourages BoZ to steadfastly implement the new MPF when faced again with a challenging macroeconomic situation such as occurred in 2015; this would improve the quality of the MP response and dampen the volatility in the economy.

66. **Staff urges BoZ to use the period of relative calm in the Foreign Exchange Market to reform the IFEM.** At a minimum, BoZ should adjust the regulations to allow widening spreads when liquidity is low and volatility is unusually high.

67. **Staff welcomes BoZ's positive response to the recommendations of the FSAP, including strengthening its supervision capacity and taking steps to enhance its crisis preparedness**. Staff encourages the authorities to strengthen further the licensing, supervision and resolution regime and ensure the prior conditions are met before introducing a deposit insurance scheme. An important pending issue is the revamping of the BoZ Act to give it more operational autonomy, improve its governance practices, and enhance its transparency and accountability.

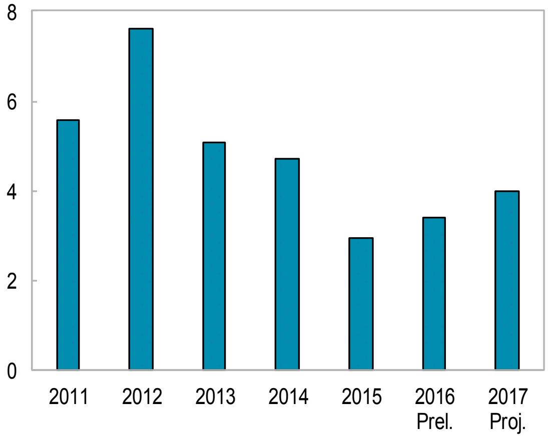
68. **Staff urges the authorities to address policy uncertainties that are clouding the investment climate**. These include mixed signals on the role of the private sector in the energy and agriculture sectors. The authorities should speak with one voice on key objectives and policies.

69. **Staff recommends that the next Article IV consultation be held on the standard 12-month cycle.**

Figure 1. Zambia: Recent Developments

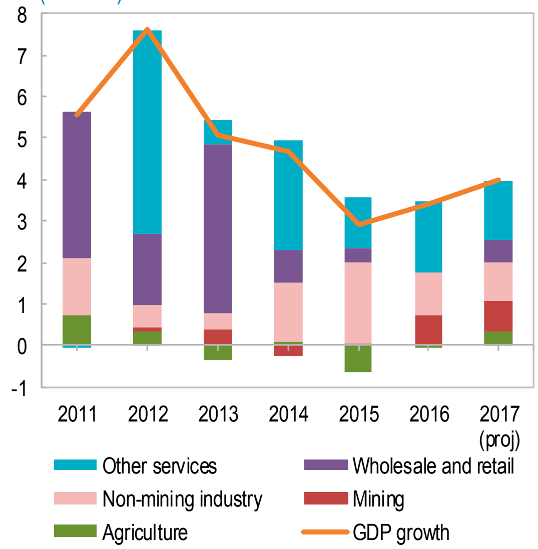
Growth has slowed down sharply in recent years...

Real GDP Growth, 2011–17
(Percent)



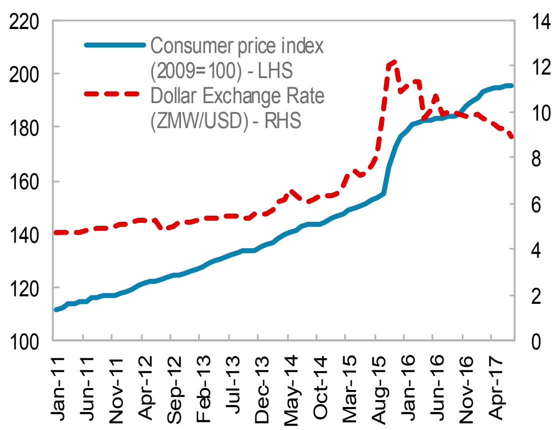
...driven by agriculture and wholesale and retail.

Sectoral contributions to GDP growth, 2011-17
(Percent)



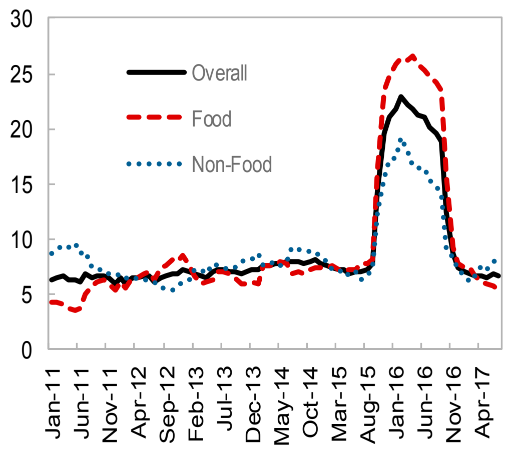
The kwacha depreciated sharply in late 2015, which drove up inflation.

Consumer Price Index and Exchange Rate
(January 2011–July 2017)



The appreciation of the kwacha in the recent months has helped bring inflation down.

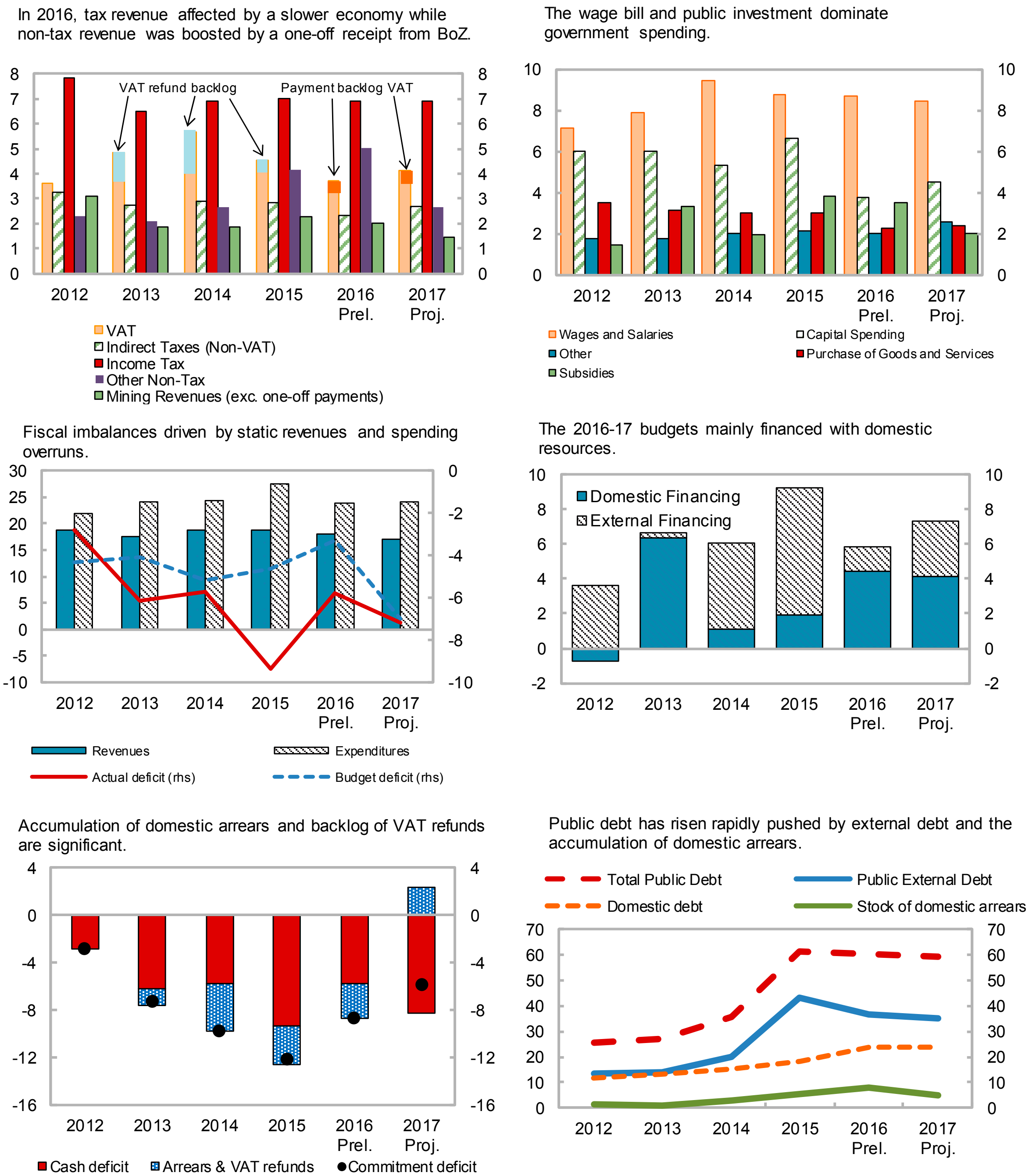
Inflation
(Year-on-year percentage change)



Sources: Zambia Central Statistics Office; LME; IMF, World Economic Outlook database; and IMF staff estimates and projections.

Figure 2. Zambia: Fiscal Developments

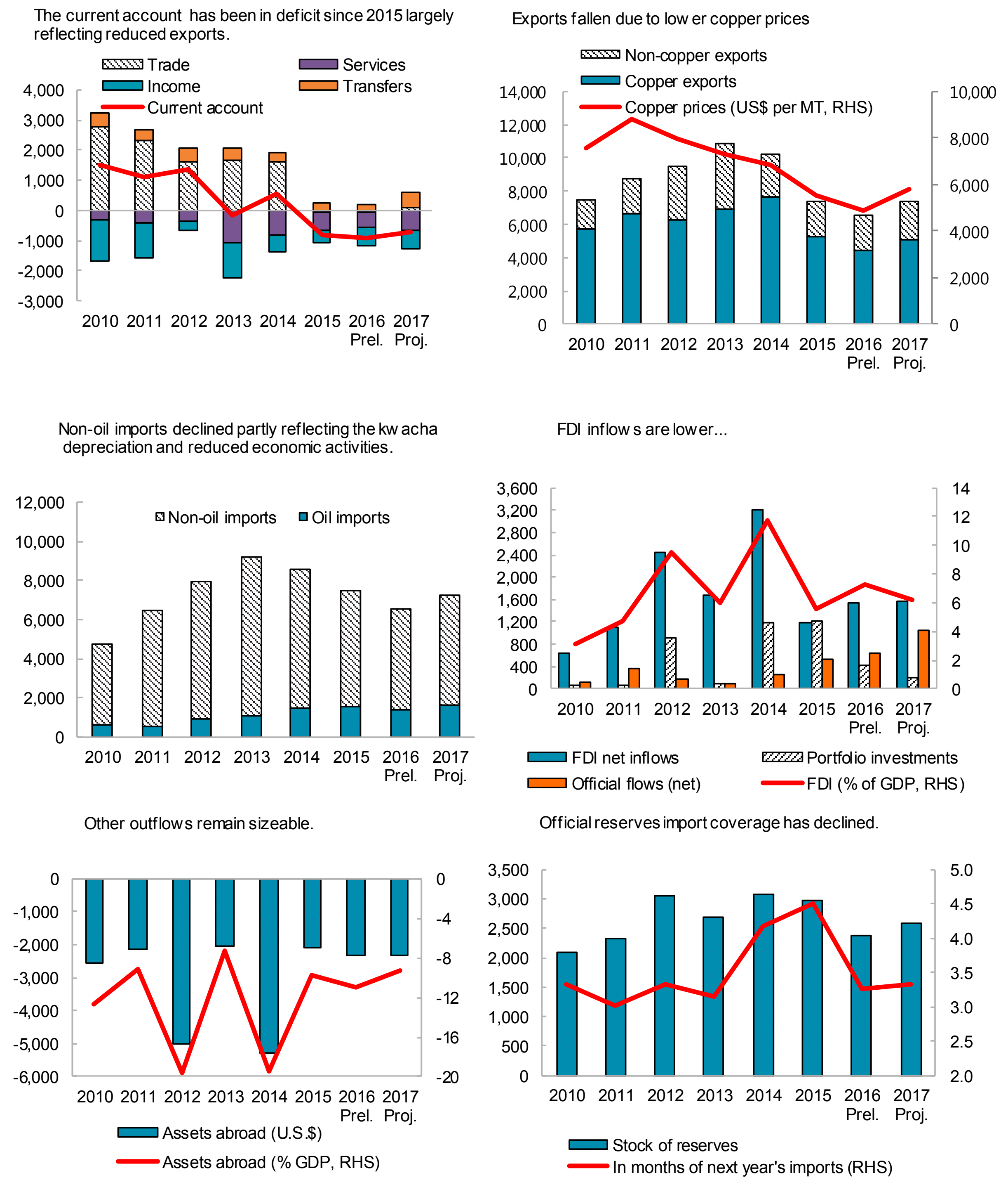
(Percent of GDP, unless otherwise indicated)



Sources: Zambian authorities and IMF estimates and calculations.

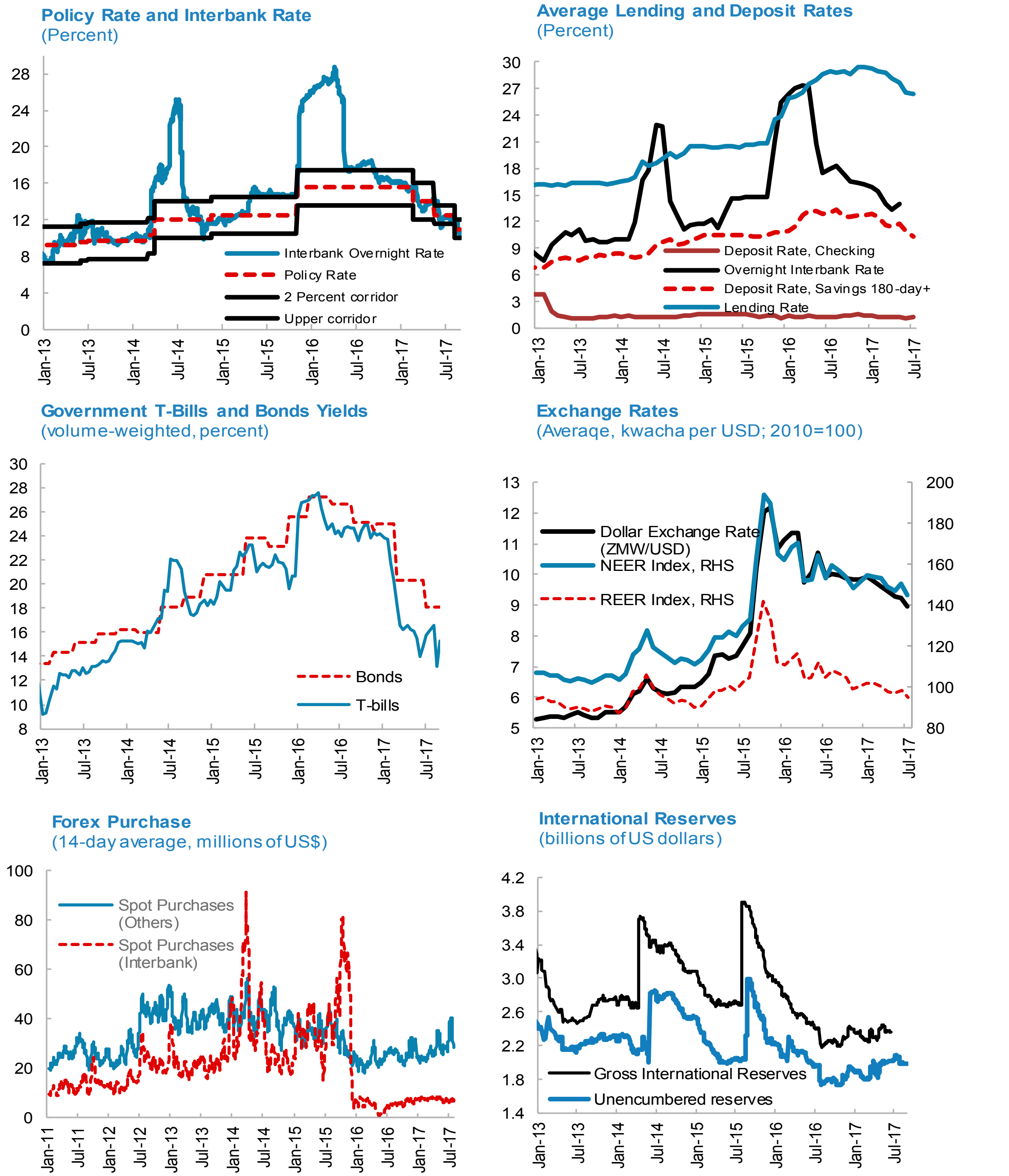
Figure 3. Zambia: External Sector

(Millions of U.S. dollars, unless otherwise indicated



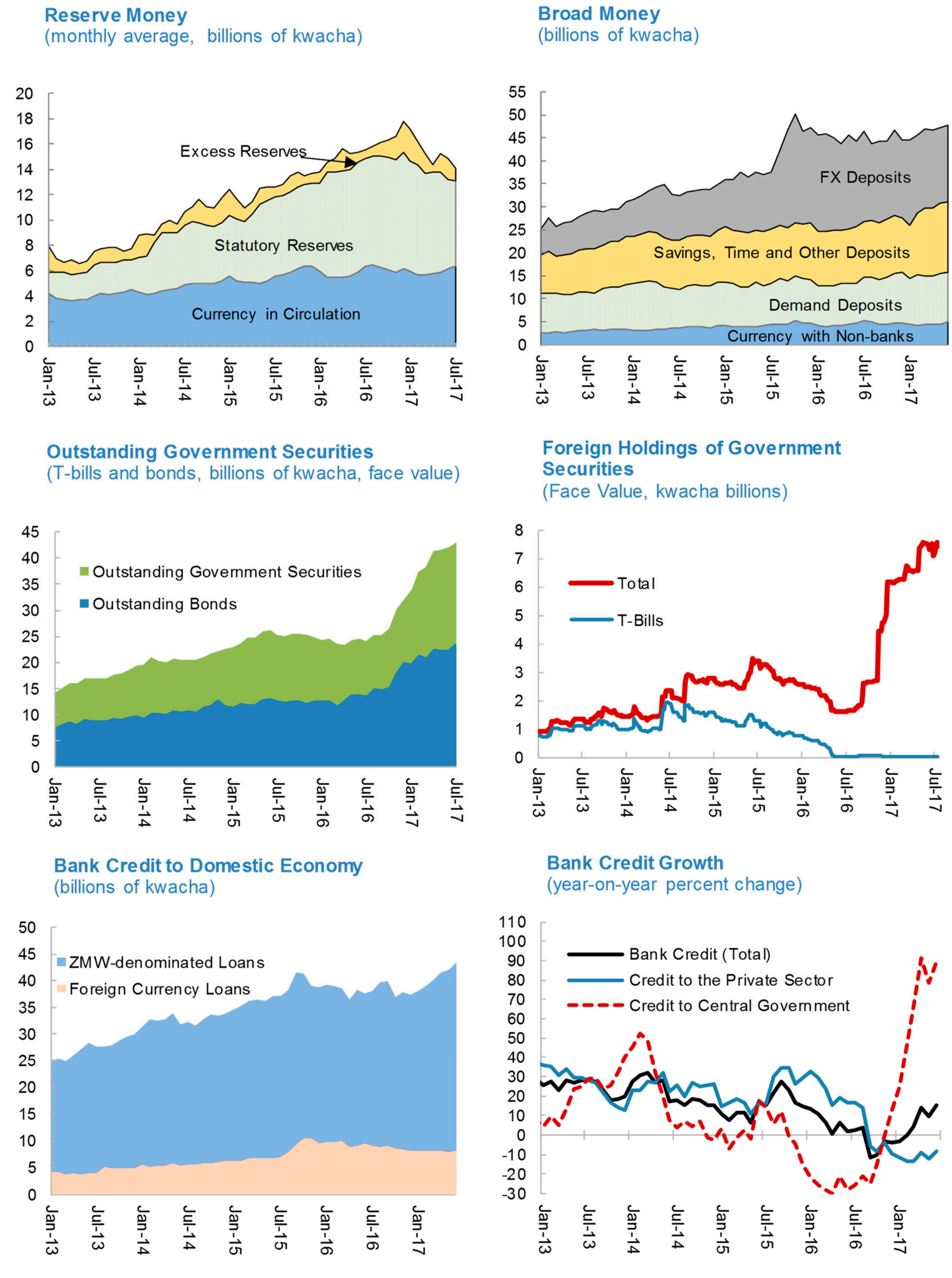
Sources: Bank of Zambia and IMF staff forecasts.

Figure 4. Zambia: Monetary and Financial Developments



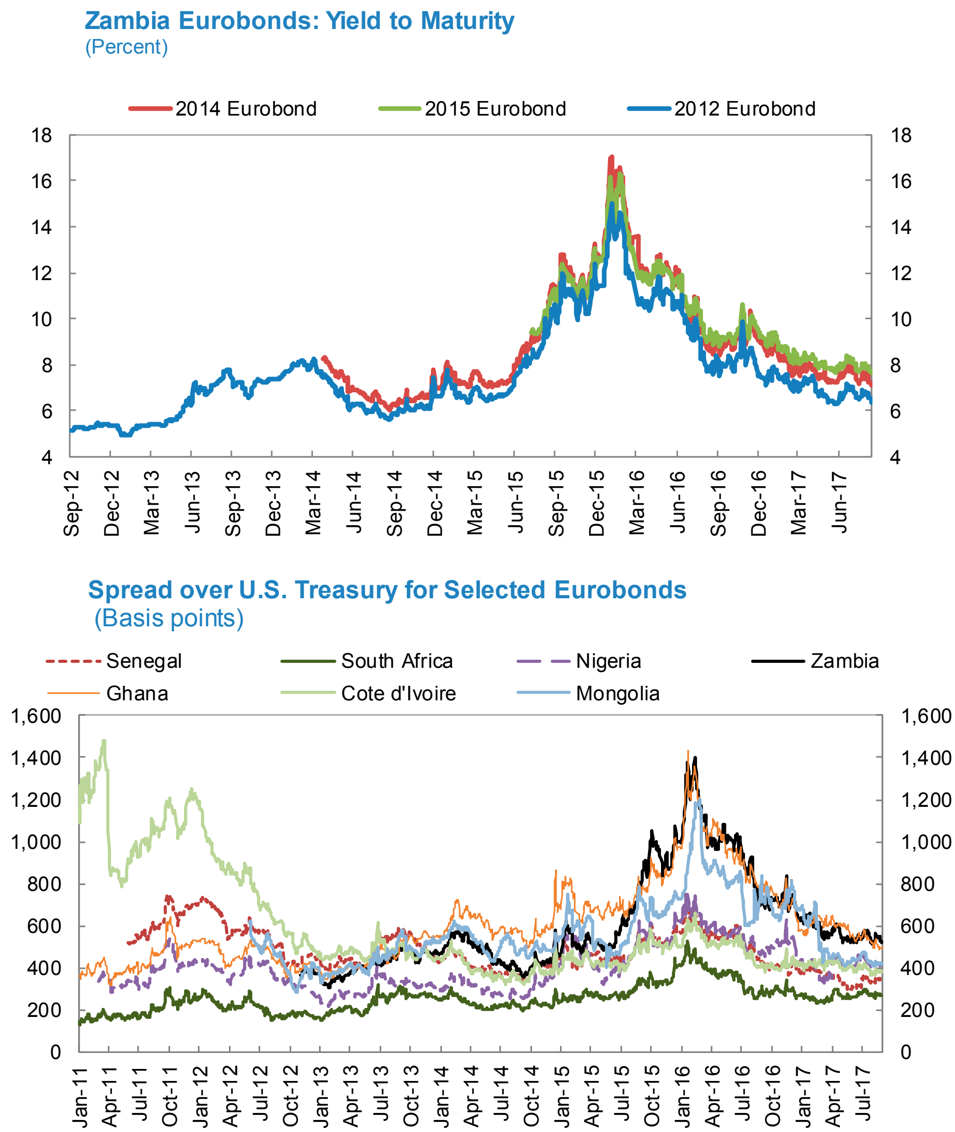
Source: Bank of Zambia.

Figure 4. Zambia: Monetary and Financial Developments (concluded)



Source: Bank of Zambia.

Figure 5. Yields on Zambian Eurobonds and Spreads for Selected Countries



Source: Bloomberg.

Table 1. Zambia: Selected Economic Indicators, 2014–22

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
			Prel.	Baseline						Adjustment					
				(Percentage change, unless otherwise indicated)											
National account and prices															
GDP growth at constant prices	4.7	2.9	3.4	4.0	4.5	4.5	4.5	4.5	4.5	4.0	4.5	5.0	5.5	5.5	5.5
Mining	-2.3	0.2	7.0	7.0	5.0	5.0	6.0	6.0	6.0	7.0	5.0	5.0	6.0	6.0	6.0
Non mining	5.6	3.2	3.0	3.6	4.4	4.4	4.3	4.3	4.3	3.6	4.4	5.0	5.4	5.4	5.4
GDP deflator	5.4	6.7	14.3	7.9	8.1	8.1	7.8	8.0	7.9	7.9	6.8	6.3	6.0	6.0	5.8
GDP at market prices (millions of kwacha)	167,052	183,381	216,826	243,284	274,845	310,305	349,546	394,301	444,362	243,284	271,499	302,909	338,632	378,522	422,675
GDP at market prices (USD)	27,151	21,243	21,012	25,576	27,328	28,242	29,521	31,267	33,345	25,576	27,522	28,997	30,718	32,788	35,256
Consumer prices															
Consumer prices (average)	7.8	10.1	17.9	6.8	7.4	8.0	8.0	8.0	8.0	6.8	6.2	6.3	6.0	6.0	6.0
Consumer prices (end of period)	7.9	21.1	7.5	5.8	8.0	8.0	8.0	8.0	8.0	5.8	6.5	6.0	6.0	6.0	6.0
External sector															
Terms of trade (deterioration -)	-2.4	-4.0	-1.9	6.8	3.4	2.2	-0.4	1.0	-1.3	6.8	3.4	2.2	-0.5	0.9	-1.5
Real exchange rate (depreciation +)	9.2	30.0	-3.9	...	...	...	...	...	...	...	...	...	...	...	...
Money and credit															
Domestic credit to the private sector	26.4	29.3	-9.4	13.0	12.9	14.4	14.7	14.2	14.8	12.2	14.7	14.4	14.0	13.7	13.5
Reserve money (end of period)	31.1	22.2	12.8	5.9	23.4	21.3	16.1	15.1	15.5	6.0	19.6	13.6	14.2	13.6	13.1
Broad Money (M3)	12.6	35.2	-5.7	14.0	27.0	20.6	15.4	15.6	15.1	14.1	23.1	12.9	13.5	14.0	12.6
Credit to the private sector (percent of GDP)	13.4	15.7	12.1	12.1	12.1	12.3	12.5	12.7	12.9	12.1	12.4	12.7	13.0	13.2	13.4
				(Percent of GDP, unless otherwise indicated)											
National accounts															
Gross investment	33.6	42.1	41.7	41.9	43.6	42.7	41.1	39.2	38.2	41.6	42.3	41.8	40.8	39.8	39.5
Government	4.8	6.0	3.8	5.3	7.2	7.3	7.2	6.7	6.0	4.6	5.0	4.4	4.6	4.7	4.8
Private	28.7	36.1	38.0	36.6	36.4	35.4	33.9	32.5	32.2	37.0	37.3	37.5	36.2	35.1	34.7
National savings	35.7	38.2	37.3	38.3	40.8	41.2	41.1	39.0	37.8	38.6	40.6	41.7	41.6	40.8	40.7
External current account balance	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
Central government budget															
Revenue	18.9	18.8	18.2	17.3	18.4	18.4	18.9	19.4	19.6	17.3	18.3	18.4	19.0	19.5	19.5
Taxes	15.5	14.4	12.9	13.8	14.9	14.8	15.2	15.7	15.9	13.8	14.8	14.8	15.4	15.8	15.8
Grants	0.8	0.2	0.2	0.7	0.6	0.6	0.6	0.6	0.6	0.7	0.6	0.6	0.6	0.6	0.6
Other revenue	2.7	4.2	5.0	2.8	2.9	3.0	3.1	3.1	3.1	2.8	2.9	3.0	3.0	3.1	3.1
Expenditure	24.3	27.6	23.8	25.3	26.2	25.6	25.5	24.7	23.9	24.6	24.2	22.2	22.1	21.8	21.5
Expense	19.0	21.0	20.1	20.0	19.0	18.3	18.2	18.0	17.9	20.0	19.2	17.9	17.5	17.1	16.7
Net acquisition of nonfinancial assets	5.3	6.6	3.8	5.3	7.2	7.3	7.2	6.7	6.0	4.6	5.0	4.4	4.6	4.7	4.8
Net lending/borrowing (cash basis)	-5.7	-9.3	-5.8	-8.0	-7.8	-7.2	-6.5	-5.3	-4.3	-7.3	-5.9	-3.9	-3.1	-2.3	-2.0
Excluding grants	-6.5	-9.5	-6.0	-8.7	-8.4	-7.8	-7.2	-5.9	-4.9	-8.0	-6.5	-4.5	-3.7	-2.9	-2.6
Net lending/borrowing (commitment basis)	-9.8	-12.1	-8.6	-5.6	-6.8	-6.5	-5.5	-5.1	-4.3	-4.9	-4.2	-2.9	-2.1	-2.3	-2.0
Net acquisition of financial assets	0.4	-0.6	-0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	0.4	-0.6	-0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrance of liabilities	6.1	8.7	5.2	8.0	7.8	7.2	6.5	5.3	4.3	7.3	5.9	3.9	3.1	2.3	2.0
Domestic	1.2	1.4	3.8	4.9	3.3	2.4	2.9	2.8	2.7	4.1	2.4	1.3	1.8	1.3	0.9
Foreign	4.9	7.3	1.4	3.2	4.5	4.8	3.6	2.5	1.6	3.3	3.4	2.6	1.3	1.0	1.1
Financing gap	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External sector															
Current account balance	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
(including current and capital grants)	2.8	-3.5	-4.2	-3.4	-2.6	-1.2	0.2	0.1	-0.2	-2.7	-1.5	0.1	1.0	1.3	1.4
(excluding grants)	1.9	-4.0	-4.4	-4.4	-3.3	-2.0	-0.5	-0.6	-0.9	-3.8	-2.2	-0.7	0.3	0.5	0.8
Gross International Reserves (months of prospective imports)	4.2	4.5	3.1	2.5	2.8	3.1	3.0	3.2	3.3	2.8	3.1	3.1	3.1	3.4	3.5
Public debt															
Total central government debt, gross (end-period)	35.6	61.4	60.5	55.6	60.0	62.4	63.3	64.0	63.1	54.9	56.1	54.7	53.1	51.4	49.1
External	20.1	43.1	36.5	32.9	37.3	40.4	42.4	42.6	41.4	33.0	35.4	35.6	35.1	33.9	32.5
Domestic[1]	15.5	18.3	24.0	22.7	22.7	22.0	21.0	21.4	21.7	21.9	20.7	19.1	18.1	17.5	16.6
PV of Public External Debt[2]	20.1	46.2	37.0	34.5	39.1	42.6	44.3	44.3	43.3	34.3	36.6	37.0	36.1	34.7	33.9

Sources: Zambian authorities; and IMF staff estimates and projections.

[1] Including arrears.

[2] Public and publicly guaranteed external debt.

Table 2. Zambia: Fiscal Operations of Central Government, 2014–22
(Millions of Kwacha)

	2014	2015	2016	2016	2017	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
			Budget	Prel.	Budget	Baseline						Adjustment					
Revenue	31,564	34,421	42,655	39,410	45,171	42,058	50,485	57,159	66,114	76,509	86,988	42,058	49,740	55,667	64,476	73,818	82,459
Revenue excluding grants	30,297	34,051	42,109	38,885	42,940	40,248	48,834	55,273	63,966	74,139	84,370	40,248	48,112	53,836	62,413	71,560	79,986
Tax	25,837	26,437	30,349	28,028	35,213	33,496	40,819	45,827	53,064	61,979	70,701	33,496	40,215	44,750	52,151	59,893	66,871
Tax revenues adjusted by the backlog of VAT refunds	22,910	26,833	30,349	29,114	35,213	34,624	41,625	46,633	53,548	61,979	70,701	34,624	41,021	45,556	52,635	59,893	66,871
Other revenue, including mineral royalties	4,460	7,615	11,760	10,856	7,727	6,753	8,015	9,446	10,902	12,160	13,670	6,753	7,897	9,086	10,262	11,667	13,116
Of which: Mineral royalties	1,617	3,749	2,889	3,053	1,891	2,598	3,321	3,922	4,554	5,000	5,600	2,598	3,260	3,688	4,102	4,782	5,277
Grants	1,267	369	546	525	2,231	1,809	1,650	1,886	2,148	2,370	2,618	1,809	1,628	1,831	2,063	2,258	2,472
Expenditure	40,640	50,701	49,450	51,713	61,378	61,449	71,914	79,437	88,970	97,469	106,079	59,802	65,682	67,387	74,881	82,566	91,081
Expense	31,770	38,508	40,647	43,555	49,360	48,626	52,084	56,799	63,763	71,084	79,507	48,626	52,125	54,158	59,149	64,656	70,715
Compensation of employees	15,750	16,091	20,394	18,807	20,055	21,070	23,093	25,307	28,323	31,764	35,645	21,070	22,816	24,574	26,976	29,669	32,647
Use of goods and services	5,062	5,519	5,167	4,897	7,982	5,587	6,600	7,405	8,399	9,476	10,666	5,587	6,516	7,201	8,092	9,046	10,089
Interest	3,711	5,224	7,099	7,448	8,408	8,812	10,876	12,280	13,550	14,812	16,699	8,812	10,383	10,860	11,578	12,136	12,981
Subsidies	3,308	7,083	2,909	7,672	4,929	4,932	3,895	3,361	4,148	4,468	4,701	4,932	4,895	3,298	3,480	3,694	3,817
Fertilizer support program	1,456	2,118	1,004	1,902	2,824	2,626	1,800	1,866	2,537	2,703	2,856	2,626	2,826	1,877	1,980	2,074	2,154
Strategic Food Reserve (FRA)	1,545	1,887	750	910	943	1,294	1,368	1,495	1,611	1,765	1,846	1,294	1,342	1,421	1,500	1,620	1,663
Electricity	0	364	0	1,014	662	662	727	0	0	0	0	662	727	0	0	0	0
Fuel	307	2,713	1,156	3,845	500	350	0	0	0	0	0	350	0	0	0	0	0
Intergovernmental transfers	3,196	3,738	3,928	4,195	5,741	5,914	5,743	6,388	7,100	7,934	8,831	5,914	5,668	6,227	6,865	7,599	8,376
Social benefits	742	852	1,150	537	2,246	2,311	1,877	2,058	2,243	2,630	2,964	2,311	1,846	1,997	2,158	2,512	2,805
Net acquisition of nonfinancial assets	8,870	12,193	8,803	8,157	12,018	12,823	19,830	22,638	25,207	26,386	26,572	11,175	13,557	13,229	15,733	17,910	20,366
Of which: non-donor financed	6,210	7,529	5,565	3,357	4,289	4,611	6,216	6,102	8,359	11,092	13,908	4,611	5,166	5,315	7,555	9,188	10,853
Statistical Discrepancy (-overfinancing)	-454	-844	0	-233	0	0	0	0	0	0	0	0	0	0	0	0	0
Net lending/borrowing (overall balance, cash basis)	-9,530	-17,124	-6,795	-12,535	-16,207	-19,392	-21,429	-22,279	-22,856	-20,960	-19,090	-17,744	-15,942	-11,720	-10,405	-8,748	-8,622
Primary balance (cash basis)	-5,819	-11,900	304	-5,087	-7,799	-10,579	-10,553	-9,998	-9,306	-6,148	-2,392	-8,931	-5,559	-860	1,173	3,388	4,359
Domestic arrears (- payments)	3,937.9	5,516	0	7,287	-3,276	-4,601	-2,000	-1,412	-3,077	-1,045	0	-4,601	-3,618	-2,094	-2,733	0	0
Backlog of VAT refunds (flow)	2,927.0	-396.0	0	-1,086	0	-1,128	-806	-806	-484	0	0	-1,128	-806	-806	-484	0	0
Overall balance, (commitment basis)[1]	-16,395	-22,244	-6,795	-18,736	-12,930	-13,662	-18,624	-20,061	-19,295	-19,915	-19,090	-12,015	-11,518	-8,820	-7,188	-8,748	-8,622
Primary balance (commitment basis)[1]	-12,683	-17,020	304	-11,288	-4,523	-4,850	-7,747	-7,780	-5,746	-5,103	-2,392	-3,202	-1,134	2,041	4,390	3,388	4,359
Financing	9,530	17,124	6,795	12,535	16,207	19,392	21,429	22,279	22,856	20,960	19,090	17,744	15,942	11,720	10,405	8,748	8,622
Net acquisition of financial assets	733	-1,103	129	-1,314	73	106	0	0	0	0	0	106	0	0	0	0	0
Domestic	733	-1,103	129	-1,314	73	106	0	0	0	0	0	106	0	0	0	0	0
Currency and deposits	171	-938	-834	-1,437	0	-167	0	0	0	0	0	-167	0	0	0	0	0
Loans	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Foreign	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net incurrence of liabilities	10,263	16,021	6,924	11,221	16,280	19,497	21,429	22,279	22,856	20,960	19,090	17,850	15,942	11,720	10,405	8,748	8,622
Domestic	2,082	2,656	1,750	8,216	3,026	11,816	9,148	7,464	10,155	11,203	12,164	9,914	6,588	3,876	6,089	5,036	3,845
Debt securities	2,432	720	2,509	4,718	3,836	12,626	9,148	7,464	10,155	11,203	12,164	10,724	6,588	3,876	6,089	5,036	3,845
Loans	-220	2,066	-759	3,498	-810	-810	0	0	0	0	0	-810	0	0	0	0	0
Foreign	8,181	13,365	5,174	3,005	13,254	7,681	12,282	14,814	12,701	9,757	6,926	7,936	9,354	7,844	4,316	3,712	4,777
Loans	1,501	3,342	5,174	3,005	13,254	7,681	12,282	14,814	12,701	9,757	-3,068	7,936	9,354	7,844	4,316	3,712	-4,215
Budget support, gross	93	0	0	0	0	0	0	0	0	0	0	1,902	2,269	1,567	0	0	0
Project loans, gross	2,289	4,964	4,017	4,966	7,470	8,215	14,753	17,767	16,680	15,123	12,491	6,567	9,509	9,085	8,021	8,565	9,355
Other, gross	0	0	3,121	0	8,033	1,275	0	0	0	0	0	1,275	0	0	0	0	0
Amortization	-788	-1,621	-1,964	-1,961	-2,249	-1,808	-2,471	-2,953	-3,980	-5,366	-15,560	-1,808	-2,424	-2,808	-3,705	-4,853	-13,570
Debt securities	6,680	10,023	0	0	0	0	0	0	0	0	9,995	0	0	0	0	0	8,992
Financing gap	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Memorandum items:																	
Net Domestic Financing	1,911	3,594	2,584	9,653	3,226	11,983	9,148	7,464	10,155	11,203	12,164	10,081	6,588	3,876	6,089	5,036	3,845
Backlog of VAT refunds (stock)	4,706.0	4,310.0	0	3,224	3,224	2,096	1,290	484	0	0	0	2,096	1,290	484	0	0	0
Primary balance, excluding mining revenue (cash basis)	-8,943	-16,104	-2,954	-9,420	-11,311	-14,286	-15,601	-15,992	-16,250	-13,925	-11,102	-12,638	-10,515	-6,522	-5,160	-3,945	-3,726
Primary balance, excluding mining revenue (commitment ba	-15,808	-21,224	-2,954	-15,621	-8,035	-8,557	-12,795	-13,774	-12,689	-12,880	-11,102	-6,909	-6,090	-3,622	-1,944	-3,945	-3,726
Mining revenue	3,125	4,204	3,258	4,332	3,512	3,707	5,048	5,993	6,944	7,777	8,711	3,707	4,956	5,662	6,333	7,333	8,085
Stock of domestic debt, gross	25,830	33,593	...	51,979	...	55,130	62,278	68,330	73,245	84,448	96,612	53,227	56,197	57,978	61,128	66,164	70,009
Of which: Stock of domestic arrears	5,042	10,148	...	17,317	...	8,652	6,652	5,240	0	0	0	8,652	5,033	2,939	0	0	0
Stock of external debt, gross	33,643	78,989	...	79,132	...	80,102	102,497	125,364	148,157	167,928	183,934	80,350	96,245	107,808	118,692	128,207	137,491
Total public debt	59,473	112,582	...	131,111	...	135,231	164,774	193,695	221,402	252,376	280,547	133,577	152,442	165,786	179,820	194,371	207,501

Sources: Zambian authorities; and IMF staff estimates and projections.

1 Adjusted for accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment, and pensions.

Table 3. Zambia: Fiscal Operations of Central Government, 2014–22
(Percent of GDP, unless otherwise indicated)

	2014	2015	2016		2017	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
			Budget	Prel.	Budget	Baseline						Adjustment					
Revenue	18.9	18.8	20.7	18.2	19.4	17.3	18.4	18.4	18.9	19.4	19.6	17.3	18.3	18.4	19.0	19.5	19.5
Revenue excluding grants	18.1	18.6	20.4	17.9	18.4	16.5	17.8	17.8	18.3	18.8	19.0	16.5	17.7	17.8	18.4	18.9	18.9
Tax	15.5	14.4	14.7	12.9	15.1	13.8	14.9	14.8	15.2	15.7	15.9	13.8	14.8	14.8	15.4	15.8	15.8
Tax revenues adjusted by the backlog of VAT refunds	13.7	14.6	14.7	13.4	15.1	14.2	15.1	15.0	15.3	15.7	15.9	14.2	15.1	15.0	15.5	15.8	15.8
Other revenue, including mineral royalties	2.7	4.2	5.7	5.0	3.3	2.8	2.9	3.0	3.1	3.1	3.1	2.8	2.9	3.0	3.0	3.1	3.1
Of which: Mineral royalties	1.0	2.0	1.4	1.4	0.8	1.1	1.2	1.3	1.3	1.3	1.3	1.1	1.2	1.2	1.2	1.3	1.2
Grants	0.8	0.2	0.3	0.2	1.0	0.7	0.6	0.6	0.6	0.6	0.6	0.7	0.6	0.6	0.6	0.6	0.6
Expenditure	24.3	27.6	24.0	23.8	26.3	25.3	26.2	25.6	25.5	24.7	23.9	24.6	24.2	22.2	22.1	21.8	21.5
Expense	19.0	21.0	19.7	20.1	21.2	20.0	19.0	18.3	18.2	18.0	17.9	20.0	19.2	17.9	17.5	17.1	16.7
Compensation of employees	9.4	8.8	9.9	8.7	8.6	8.7	8.4	8.2	8.1	8.1	8.0	8.7	8.4	8.1	8.0	7.8	7.7
Use of goods and services	3.0	3.0	2.5	2.3	3.4	2.3	2.4	2.4	2.4	2.4	2.4	2.3	2.4	2.4	2.4	2.4	2.4
Interest	2.2	2.8	3.4	3.4	3.6	3.6	4.0	4.0	3.9	3.8	3.8	3.6	3.8	3.6	3.4	3.2	3.1
Subsidies	2.0	3.9	1.4	3.5	2.1	2.0	1.4	1.1	1.2	1.1	1.1	2.0	1.8	1.1	1.0	1.0	0.9
Fertilizer support program	0.9	1.2	0.5	0.8	1.2	1.1	0.7	0.6	0.7	0.7	0.6	1.1	1.0	0.6	0.6	0.5	0.5
Strategic Food Reserve (FRA)	0.9	1.0	0.4	0.3	0.4	0.5	0.5	0.5	0.5	0.4	0.4	0.5	0.5	0.5	0.4	0.4	0.4
Electricity	0.0	0.2	0.0	0.5	0.3	0.3	0.3	0.0	0.0	0.0	0.0	0.3	0.3	0.0	0.0	0.0	0.0
Fuel	0.2	1.5	0.6	1.9	0.2	0.1	0.0	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0
Intergovernmental transfers	1.9	2.0	1.9	1.9	2.5	2.4	2.1	2.1	2.0	2.0	2.0	2.4	2.1	2.1	2.0	2.0	2.0
Social benefits	0.4	0.5	0.6	0.2	1.0	0.9	0.7	0.7	0.6	0.7	0.7	0.9	0.7	0.7	0.6	0.7	0.7
Net acquisition of nonfinancial assets	5.3	6.6	4.3	3.8	5.2	5.3	7.2	7.3	7.2	6.7	6.0	4.6	5.0	4.4	4.6	4.7	4.8
Of which: non-donor financed	3.7	4.1	2.7	1.5	1.8	1.9	2.3	2.0	2.4	2.8	3.1	1.9	1.9	1.8	2.2	2.4	2.6
Statistical Discrepancy (-overfinancing)	-0.3	-0.5	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net lending/borrowing (overall balance, cash basis)	-5.7	-9.3	-3.3	-5.8	-7.0	-8.0	-7.8	-7.2	-6.5	-5.3	-4.3	-7.3	-5.9	-3.9	-3.1	-2.3	-2.0
Primary balance (cash basis)	-3.5	-6.5	0.1	-2.3	-3.3	-4.3	-3.8	-3.2	-2.7	-1.6	-0.5	-3.7	-2.0	-0.3	0.3	0.9	1.0
Domestic arrears (- payments)	2.4	3.0	0.0	3.4	-1.4	-1.9	-0.7	-0.5	-0.9	-0.3	0.0	-1.9	-1.3	-0.7	-0.8	0.0	0.0
Backlog of VAT refunds (flow)	1.8	-0.2	0.0	-0.5	0.0	-0.5	-0.3	-0.3	-0.1	0.0	0.0	-0.5	-0.3	-0.3	-0.1	0.0	0.0
Overall balance, (commitment basis)[1]	-9.8	-12.1	-3.3	-8.6	-5.5	-5.6	-6.8	-6.5	-5.5	-5.1	-4.3	-4.9	-4.2	-2.9	-2.1	-2.3	-2.0
Primary balance (commitment basis)[1]	-7.6	-9.3	0.1	-5.2	-1.9	-2.0	-2.8	-2.5	-1.6	-1.3	-0.5	-1.3	-0.4	0.7	1.3	0.9	1.0
Financing	5.7	9.3	3.3	5.8	7.0	8.0	7.8	7.2	6.5	5.3	4.3	7.3	5.9	3.9	3.1	2.3	2.0
Net acquisition of financial assets	0.4	-0.6	0.1	-0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	0.4	-0.6	0.1	-0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Currency and deposits	0.1	-0.5	-0.4	-0.7	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	-0.1	0.0	0.0	0.0	0.0	0.0
Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net incurrence of liabilities	6.1	8.7	3.4	5.2	7.0	8.0	7.8	7.2	6.5	5.3	4.3	7.3	5.9	3.9	3.1	2.3	2.0
Domestic	1.2	1.4	0.8	3.8	1.3	4.9	3.3	2.4	2.9	2.8	2.7	4.1	2.4	1.3	1.8	1.3	0.9
Debt securities	1.5	0.4	1.2	2.2	1.6	5.2	3.3	2.4	2.9	2.8	2.7	4.4	2.4	1.3	1.8	1.3	0.9
Loans	-0.1	1.1	-0.4	1.6	-0.3	-0.3	0.0	0.0	0.0	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0
Foreign	4.9	7.3	2.5	1.4	5.7	3.2	4.5	4.8	3.6	2.5	1.6	3.3	3.4	2.6	1.3	1.0	1.1
Loans	0.9	1.8	2.5	1.4	5.7	3.2	4.5	4.8	3.6	2.5	-0.7	3.3	3.4	2.6	1.3	1.0	-1.0
Budget support, gross	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	0.8	0.5	0.0	0.0	0.0
Project loans, gross	1.4	2.7	2.0	2.3	3.2	3.4	5.4	5.7	4.8	3.8	2.8	2.7	3.5	3.0	2.4	2.3	2.2
Other, gross	0.0	0.0	1.5	0.0	3.4	0.5	0.0	0.0	0.0	0.0	0.0	0.5	0.0	0.0	0.0	0.0	0.0
Amortization	-0.5	-0.9	-1.0	-0.9	-1.0	-0.7	-0.9	-1.0	-1.1	-1.4	-3.5	-0.7	-0.9	-0.9	-1.1	-1.3	-3.2
Debt securities	4.0	5.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	2.2	0.0	0.0	0.0	0.0	0.0	2.1
Financing gap	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:																	
Net Domestic Financing	1.1	2.0	1.3	4.5	1.4	4.9	3.3	2.4	2.9	2.8	2.7	4.1	2.4	1.3	1.8	1.3	0.9
Backlog of VAT refunds (stock)	2.8	2.4	0.0	1.5	1.4	0.9	0.5	0.2	0.0	0.0	0.0	0.9	0.5	0.2	0.0	0.0	0.0
Primary balance, excluding mining revenue (cash basis)	-5.4	-8.8	-1.4	-4.3	-4.9	-5.9	-5.7	-5.2	-4.6	-3.5	-2.5	-5.2	-3.9	-2.2	-1.5	-1.0	-0.9
Primary balance, excluding mining revenue (commitment b	-9.5	-11.6	-1.4	-7.2	-3.4	-3.5	-4.7	-4.4	-3.6	-3.3	-2.5	-2.8	-2.2	-1.2	-0.6	-1.0	-0.9
Mining revenue	1.9	2.3	1.6	2.0	1.5	1.5	1.8	1.9	2.0	2.0	2.0	1.5	1.8	1.9	1.9	1.9	1.9
Stock of domestic debt, gross	15.5	18.3	...	24.0	...	22.7	22.7	22.0	21.0	21.4	21.7	21.9	20.7	19.1	18.1	17.5	16.6
Of which: Stock of domestic arrears	3.0	5.5	...	8.0	...	3.6	2.4	1.7	0.0	0.0	0.0	3.6	1.9	1.0	0.0	0.0	0.0
Stock of external debt, gross	20.1	43.1	...	36.5	...	32.9	37.3	40.4	42.4	42.6	41.4	33.0	35.4	35.6	35.1	33.9	32.5
Total public debt	35.6	61.4	...	60.5	...	55.6	60.0	62.4	63.3	64.0	63.1	54.9	56.1	54.7	53.1	51.4	49.1
Nominal GDP (millions of kwacha)	167,052	183,381	205,978	216,826	233,123	243,284	274,845	310,305	349,546	394,301	444,362	243,284	271,499	302,909	338,632	378,522	422,675

Sources: Zambian authorities; and IMF staff estimates and projections.

1 Adjusted for accumulation/clearance of VAT refund claims and arrears relating to FRA, FISP, subsidies, public investment, and pensions.

Table 4. Zambia: Monetary Accounts, 2014–22[1]
(Millions of Kwacha, unless otherwise indicated)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
			Prel.	Baseline						Adjustment					
Monetary survey															
Net foreign assets	15,306	29,575	21,881	19,412	27,217	34,424	40,007	48,662	59,281	21,120	27,668	31,648	36,433	44,668	54,715
Net domestic assets	19,653	17,687	22,686	31,401	37,302	43,356	49,788	55,111	60,120	29,744	34,929	39,020	43,809	46,841	48,368
Domestic claims	31,987	40,416	41,339	52,819	62,582	73,348	85,542	97,923	111,414	51,405	60,002	67,942	77,298	86,097	94,765
Net claims on central government	9,182	10,933	14,606	22,687	28,633	34,605	41,205	47,367	53,449	21,469	25,752	28,852	32,810	35,580	37,502
Claims on other sectors	22,805	29,483	26,733	30,132	33,949	38,744	44,336	50,556	57,965	29,936	34,250	39,090	44,488	50,517	57,263
Claims on other financial corporations	202	275	284	284	284	284	284	284	284	284	284	284	284	284	284
Claims on state and local government	37	50	74	74	74	74	74	74	74	74	74	74	74	74	74
Claims on public non-financial corporations	232	285	223	223	223	223	223	223	223	223	223	223	223	223	223
Claims on private sector	22,335	28,872	26,152	29,551	33,368	38,163	43,756	49,976	57,384	29,355	33,670	38,509	43,907	49,937	56,682
Other items net	-12,334	-22,728	-18,653	-21,418	-25,280	-29,992	-35,754	-42,812	-51,294	-21,661	-25,073	-28,922	-33,489	-39,256	-46,398
Broad money (M3)	34,959	47,262	44,567	50,813	64,519	77,781	89,795	103,774	119,401	50,864	62,597	70,669	80,242	91,509	103,083
Of which: foreign exchange deposits	9,939	20,762	17,051	...	...	...	...	...	...	...	...	...	...	...	...
Monetary authorities															
Net foreign assets	12,722	22,524	15,216	13,185	20,193	26,745	31,782	39,934	50,094	14,892	20,902	24,438	28,837	36,744	46,522
Asset	19,211	32,641	23,315	20,248	27,520	34,233	39,591	48,158	58,745	21,956	27,963	31,475	36,057	44,220	54,249
Liabilities	-6,488	-10,117	-8,099	-7,064	-7,327	-7,488	-7,809	-8,224	-8,650	-7,064	-7,061	-7,038	-7,220	-7,476	-7,726
Net domestic assets	578	-6,409	3,107	6,217	3,752	2,293	1,931	-1,116	-5,245	4,529	2,329	1,945	1,289	-2,514	-7,802
Net domestic claims	2,535	5,985	10,197	13,308	11,267	10,259	10,376	7,835	4,065	11,619	9,774	9,539	9,187	5,778	822
Net claims on other depository corporations	32	163	165	3,918	1,877	870	986	-1,555	-5,325	2,230	384	149	-203	-3,611	-8,568
Net claims on central government	2,438	5,699	9,940	9,298	9,298	9,298	9,298	9,298	9,298	9,298	9,298	9,298	9,298	9,298	9,298
Claims on other sectors	66	122	92	92	92	92	92	92	92	92	92	92	92	92	92
Other items (net)	-1,957	-12,394	-7,090	-7,090	-7,516	-7,967	-8,445	-8,951	-9,309	-7,090	-7,445	-7,594	-7,897	-8,292	-8,624
Reserve money	13,301	16,248	18,323	19,402	23,945	29,038	33,713	38,818	44,849	19,421	23,231	26,383	30,127	34,230	38,720
Currency outside banks and cash in vaults	5,724	6,446	6,551	10,103	15,176	20,758	26,696	33,060	43,256	10,113	14,724	18,860	23,856	29,153	37,345
Other depository corporation reserves [2]	7,557	9,774	11,740	9,261	8,722	8,223	6,954	5,685	1,512	9,270	8,462	7,471	6,214	5,014	1,305
Liabilities to other sectors	20	27	32	38	47	56	63	73	81	38	46	51	57	64	70
Memorandum items:															
Reserve money (end-of-period, annual percent change)	31.1	22.2	12.8	5.9	23.4	21.3	16.1	15.1	15.5	6.0	19.6	13.6	14.2	13.6	13.1
Broad money (M3) (annual percent change)	12.6	35.2	-5.7	14.0	27.0	20.6	15.4	15.6	15.1	14.1	23.1	12.9	13.5	14.0	12.6
Credit to the private sector (annual percent change) [3, 4, 5]	26.4	29.3	-9.4	13.0	12.9	14.4	14.7	14.2	14.8	12.2	14.7	14.4	14.0	13.7	13.5
Velocity (nominal GDP/M3)	4.8	3.9	4.9	4.8	4.3	4.0	3.9	3.8	3.7	4.8	4.3	4.3	4.2	4.1	4.1
Money multiplier (M3/reserve money)	2.6	2.9	2.4	2.6	2.7	2.7	2.7	2.7	2.7	2.6	2.7	2.7	2.7	2.7	2.7
Credit to the private sector (percent of GDP)	13.4	15.7	12.1	12.1	12.1	12.3	12.5	12.7	12.9	12.1	12.4	12.7	13.0	13.2	13.4
Gross foreign exchange reserves of the Bank of Zambia (millions of U.S. dollars)	3,078	2,978	2,366	2,180	2,629	2,992	3,232	3,705	4,295	2,365	2,773	2,930	3,187	3,747	4,447
Exchange rate (kwacha per U.S. dollar, end period)	6.4	11.0	9.9	...	...	...	...	...	...	...	...	...	...	...	...
Nominal GDP (million Kwacha)	167,052	183,381	216,826	243,284	274,845	310,305	349,546	394,301	444,362	243,284	271,499	302,909	338,632	378,522	422,675

Sources: Zambian authorities; and IMF staff estimates and projections.

[1] End of period.

[2] The required reserve ratio increased from 8 to 14 percent from mid-March 2014, and to 18 percent from early April 2015.

[3] For 2014, private sector credit increased by 17.1 percent (rather than 26.4 percent) if valuation adjustements to FX denominated loans and K800 million due to an expanded coverage of the monetary data from January 2014 are excluded.

[4] For 2015, credit to the private sector is estimated to have increased by about 10 percent (rather than 29.3 percent) if valuation adjustments to FX-

[5] For 2016, credit to the private sector dropped by 5.4 percent (rather than drop by 9.4 percent) if valuation adjustments are excluded.

Table 5. Zambia: Balance of Payments, 2014–22
(Millions of U.S. dollars, unless otherwise indicated)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2017	2018	2019	2020	2021	2022
			Prel.	Baseline						Adjustment					
Current account	571	-831	-934	-918	-776	-416	-6	-48	-137	-761	-470	-56	233	337	434
Trade balance	1,625	-74	-34	16	234	569	907	938	930	154	510	906	1,118	1,252	1,426
Exports, f.o.b.	10,220	7,362	6,505	7,659	8,841	9,774	10,451	11,471	12,321	7,659	8,833	9,761	10,464	11,520	12,411
Of which: copper	7,619	5,234	4,399	5,422	6,230	6,869	7,357	8,125	8,698	5,422	6,230	6,869	7,357	8,125	8,698
Imports, f.o.b	-8,595	-7,436	-6,539	-7,643	-8,607	-9,205	-9,545	-10,534	-11,391	-7,505	-8,323	-8,855	-9,346	-10,268	-10,985
Of which: oil	-1,442	-1,561	-1,408	-1,637	-1,730	-1,793	-1,891	-1,997	-2,104	-1,637	-1,752	-1,860	-2,001	-2,150	-2,305
Services (net)	-794	-571	-508	-756	-828	-832	-847	-936	-998	-737	-799	-818	-844	-905	-973
Income (net)	-562	-412	-605	-642	-598	-602	-551	-564	-618	-643	-599	-596	-533	-535	-583
Of which: interest on public debt	-134	-204	-347	-371	-387	-428	-416	-426	-476	-372	-386	-418	-393	-391	-435
Current transfers (net)	301	226	213	464	416	448	486	515	549	464	417	452	492	525	564
Of which: Private transfers	253	211	213	259	285	312	344	364	389	259	285	312	344	367	395
Capital and financial account	-151	788	393	795	1,285	825	260	524	727	822	939	257	39	226	265
Capital account	202	81	55	59	65	72	79	75	72	59	65	72	79	76	73
Project grants	202	81	55	59	65	72	79	75	72	59	65	72	79	76	73
Financial account	-353	707	338	735	1,220	753	181	449	655	763	874	186	-40	150	192
Foreign direct investment (net)	3,195	1,177	1,538	1,600	1,669	1,685	1,715	1,816	1,937	1,600	1,737	1,844	1,934	2,064	2,219
Portfolio investment (net)	1,197	1,203	413	200	100	100	100	100	850	200	100	100	100	100	850
Financial derivatives (net)	-25	-18	15	19	20	21	22	23	24	19	20	21	22	24	26
Other investments (net)	-4,719	-1,655	-1,628	-1,084	-570	-1,052	-1,655	-1,491	-2,157	-1,056	-983	-1,780	-2,096	-2,038	-2,903
Public sector (net)	244	527	648	1,060	1,430	1,324	1,158	864	-188	1,087	1,157	650	483	419	-301
Disbursements	372	715	864	1,269	1,675	1,732	1,494	1,240	980	1,296	1,402	1,059	819	790	831
Of which: budget support	0	0	0	0	0	0	0	0	0	200	230	70	0	0	0
Amortization due	-128	-188	-216	-209	-246	-409	-336	-376	-1,168	-209	-246	-409	-336	-370	-1,132
Commercial banks (net)	-149	-228	-66	0	0	0	0	0	0	0	0	0	0	0	0
Other sectors	-4,815	-1,954	-2,211	-2,144	-1,999	-2,376	-2,813	-2,355	-1,969	-2,143	-2,139	-2,430	-2,579	-2,457	-2,602
Errors and omissions	0	4	-2	0	0	0	0	0	0	0	0	0	0	0	0
Overall balance	419	-39	-543	-123	509	409	255	476	590	61	470	201	272	563	700
Financing	-470	39	543	123	-509	-409	-255	-476	-590	-61	-470	-201	-272	-563	-700
Central bank net reserves (- increase)	-470	39	543	123	-509	-409	-255	-476	-590	-61	-470	-201	-272	-563	-700
Of which: Gross reserve change	-441	100	612	185	-448	-363	-239	-473	-590	1	-409	-156	-257	-561	-700
Of which: Use of Fund resources	-30	-61	-69	-62	-61	-45	-16	-3	0	-62	-61	-45	-16	-3	0
Financing gap	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Memorandum items:															
Current account (percent of GDP)	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
Total official grants (percent of GDP)	0.9	0.5	0.3	1.0	0.7	0.7	0.7	0.7	0.7	1.0	0.7	0.7	0.7	0.7	0.7
Change in copper export volume (percent)	17.7	-14.4	-5.1	9.1	7.1	5.0	6.0	7.1	6.7	9.1	7.1	5.0	6.0	7.1	6.7
Copper export price (U.S. dollars per tonne)	6,863	5,510	4,868	6,030	6,430	6,462	6,471	6,469	6,469	6,030	6,430	6,462	6,471	6,469	6,469
Crude oil price	96	51	43	50	50	51	51	52	53	50	50	51	51	52	53
Gross international reserves (total)	3,078	2,978	2,366	2,180	2,629	2,992	3,232	3,705	4,295	2,365	2,773	2,930	3,187	3,747	4,447
In months of prospective imports	4.2	4.5	3.1	2.5	2.8	3.1	3.0	3.2	3.3	2.8	3.1	3.1	3.1	3.4	3.5
GDP (millions of U.S. dollars)	27,151	21,243	21,012	25,576	27,328	28,242	29,521	31,267	33,345	25,576	27,522	28,997	30,718	32,788	35,256

Sources: Zambian authorities; and IMF staff estimates and projections.

Table 6. Zambia: Balance of Payments, 2014–22
(Percent of GDP, unless otherwise indicated)

	2014	2015	2016 Prel.	2017 Baseline	2018	2019	2020	2021	2022	2017 Adjustment	2018	2019	2020	2021	2022
Current account	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
Trade balance	6.0	-0.3	-0.2	0.1	0.9	2.0	3.1	3.0	2.8	0.6	1.9	3.1	3.6	3.8	4.0
Exports, f.o.b.	37.6	34.7	31.0	29.9	32.4	34.6	35.4	36.7	36.9	29.9	32.1	33.7	34.1	35.1	35.2
Of which: copper	28.1	24.6	20.9	21.2	22.8	24.3	24.9	26.0	26.1	21.2	22.6	23.7	23.9	24.8	24.7
Imports, f.o.b	-31.7	-35.0	-31.1	-29.9	-31.5	-32.6	-32.3	-33.7	-34.2	-29.3	-30.2	-30.5	-30.4	-31.3	-31.2
Of which: oil	-5.3	-7.3	-6.7	-6.4	-6.3	-6.3	-6.4	-6.4	-6.3	-6.4	-6.4	-6.4	-6.5	-6.6	-6.5
Services (net)	-2.9	-2.7	-2.4	-3.0	-3.0	-2.9	-2.9	-3.0	-3.0	-2.9	-2.9	-2.8	-2.7	-2.8	-2.8
Income (net)	-2.1	-1.9	-2.9	-2.5	-2.2	-2.1	-1.9	-1.8	-1.9	-2.5	-2.2	-2.1	-1.7	-1.6	-1.7
Of which: interest on public debt	-0.5	-1.0	-1.7	-1.5	-1.4	-1.5	-1.4	-1.4	-1.4	-1.5	-1.4	-1.4	-1.3	-1.2	-1.2
Current transfers (net)	1.1	1.1	1.0	1.8	1.5	1.6	1.6	1.6	1.6	1.8	1.5	1.6	1.6	1.6	1.6
Budget support grants	0.0	0.0	0.0	0.8	0.5	0.5	0.5	0.5	0.5	0.8	0.5	0.5	0.5	0.5	0.5
Sector-wide approach grants	0.2	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Private transfers	0.9	1.0	1.0	1.0	1.0	1.1	1.2	1.2	1.2	1.0	1.0	1.1	1.1	1.1	1.1
Capital and financial account	-0.6	3.7	1.9	3.1	4.7	2.9	0.9	1.7	2.2	3.2	3.4	0.9	0.1	0.7	0.8
Capital account	0.7	0.4	0.3	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.3	0.2	0.2
Project grants	0.7	0.4	0.3	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.3	0.2	0.2
External debt cancellation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financial account	-1.3	3.3	1.6	2.9	4.5	2.7	0.6	1.4	2.0	3.0	3.2	0.6	-0.1	0.5	0.5
Foreign direct investment (net)	11.8	5.5	7.3	6.3	6.1	6.0	5.8	5.8	5.8	6.3	6.3	6.4	6.3	6.3	6.3
Portfolio investment (net)	4.4	5.7	2.0	0.8	0.4	0.4	0.3	0.3	2.5	0.8	0.4	0.3	0.3	0.3	2.4
Financial derivatives (net)	-0.1	-0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Other investments (net)	-17.4	-7.8	-7.7	-4.2	-2.1	-3.7	-5.6	-4.8	-6.5	-4.1	-3.6	-6.1	-6.8	-6.2	-8.2
Public sector (net)	0.9	2.5	3.1	4.1	5.2	4.7	3.9	2.8	-0.6	4.3	4.2	2.2	1.6	1.3	-0.9
Disbursements	1.4	3.4	4.1	5.0	6.1	6.1	5.1	4.0	2.9	5.1	5.1	3.7	2.7	2.4	2.4
Of which: budget support	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	0.8	0.2	0.0	0.0	0.0
Amortization due	-0.5	-0.9	-1.0	-0.8	-0.9	-1.4	-1.1	-1.2	-3.5	-0.8	-0.9	-1.4	-1.1	-1.1	-3.2
Commercial banks (net)	-0.5	-1.1	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other sectors	-17.7	-9.2	-10.5	-8.4	-7.3	-8.4	-9.5	-7.5	-5.9	-8.4	-7.8	-8.4	-8.4	-7.5	-7.4
Errors and omissions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	1.5	-0.2	-2.6	-0.5	1.9	1.4	0.9	1.5	1.8	0.2	1.7	0.7	0.9	1.7	2.0
Financing															
Central bank net reserves (- increase)	-1.7	0.2	2.6	0.5	-1.9	-1.4	-0.9	-1.5	-1.8	-0.2	-1.7	-0.7	-0.9	-1.7	-2.0
Of which: Gross reserve change	-1.6	0.5	2.9	0.7	-1.6	-1.3	-0.8	-1.5	-1.8	0.0	-1.5	-0.5	-0.8	-1.7	-2.0
Of which: Use of Fund resources	-0.1	-0.3	-0.3	-0.2	-0.2	-0.2	-0.1	0.0	0.0	-0.2	-0.2	-0.2	-0.1	0.0	0.0
Exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:															
Current account (percent of GDP)	2.1	-3.9	-4.4	-3.6	-2.8	-1.5	0.0	-0.2	-0.4	-3.0	-1.7	-0.2	0.8	1.0	1.2
Total official grants (percent of GDP)	0.9	0.5	0.3	1.0	0.7	0.7	0.7	0.7	0.7	1.0	0.7	0.7	0.7	0.7	0.7
Change in copper export volume (percent)	17.7	-14.4	-5.1	9.1	7.1	5.0	6.0	7.1	6.7	9.1	7.1	5.0	6.0	7.1	6.7
Copper export price (U.S. dollars per tonne)	6,863	5,510	4,868	6,030	6,430	6,462	6,471	6,469	6,469	6,030	6,430	6,462	6,471	6,469	6,469
Crude oil price	96	51	43	50	50	51	51	52	53	50	50	51	51	52	53
Gross international reserves (total)	3,078	2,978	2,366	2,180	2,629	2,992	3,232	3,705	4,295	2,365	2,773	2,930	3,187	3,747	4,447
In months of prospective imports	4.2	4.5	3.1	2.5	2.8	3.1	3.0	3.2	3.3	2.8	3.1	3.1	3.1	3.4	3.5
GDP (millions of U.S. dollars)	27,151	21,243	21,012	25,576	27,328	28,242	29,521	31,267	33,345	25,576	27,522	28,997	30,718	32,788	35,256

Sources: Zambian authorities; and IMF staff estimates and projections.

Table 7. Zambia: Financial Soundness Indicators, 2008–17
(Percent, unless otherwise indicated)

	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017 July
Capital adequacy										
Regulatory capital to risk-weighted assets	18.6	22.3	22.1	19.2	21.3	26.8	27.0	21.2	26.2	27.8
Tier 1 regulatory capital to risk-weighted assets	15.7	18.9	19.1	16.8	19.4	24.5	24.6	19.2	23.4	25.5
Capital to total assets	9.9	11.2	10.4	10.2	12.0	14.1	15.1	12.2	13.5	13.1
Asset quality										
Past due advances (NPL) to total advances	7.2	12.6	14.8	10.4	8.1	7.0	6.1	7.3	9.7	12.1
Loan loss provisions to nonperforming loans	104.6	86.6	80.3	76.7	73.5	83.2	76.5	70.5	71.5	62.9
Bad debt provisions to advances	6.1	10.9	11.9	8.0	6.0	5.8	3.9	4.6	5.6	6.7
Loan concentration										
Of Which										
Households	30.1	30.9	32.2	30.8	34.3	34.5	36.0	30.2	28.7	27.9
Government and parastatals	1.9	3.1	4.6	4.7	3.9	2.1	4.3	3.0	4.8	6.0
Sectoral Breakdown										
Agriculture	16.0	19.0	17.6	17.7	22.6	20.2	16.6	17.3	17.0	19.9
Mining	5.0	4.0	3.2	4.2	5.7	6.6	5.0	6.4	6.3	5.8
Manufacturing	11.0	12.0	12.7	12.2	11.3	9.5	11.5	13.5	12.8	10.8
Construction	4.0	3.0	5.8	4.2	3.7	3.5	3.4	3.4	3.9	3.6
Services	9.0	8.0	7.0	7.1	3.9	4.1	2.5	2.7	1.8	2.9
Others	55.0	54.0	53.7	54.6	52.8	56.1	61.0	56.7	58.2	57.1
Earnings and profitability										
Return on average assets	3.6	2.1	2.9	3.7	3.9	3.4	3.7	2.8	2.5	2.8
Return on equity	20.8	9.4	12.1	25.5	20.8	18.2	17.3	13.1	12.3	13.6
Gross interest income to total gross income	66.6	65.1	58.6	59.3	61.3	64.5	66.4	67.1	68.6	69.8
Gross noninterest income to total gross income	33.4	34.9	41.4	40.7	38.7	35.5	33.7	32.9	31.4	30.2
Net interest margin	10.4	10.7	9.0	8.1	8.4	8.3	8.5	8.2	8.7	9.2
Liquidity										
Liquid assets to total assets	35.5	38.0	43.8	40.3	36.0	38.9	35.8	34.8	39.1	44.3
Liquid assets to total deposits	49.9	52.6	58.5	53.3	49.0	52.6	49.8	47.9	54.2	59.7
Advances to deposits ratio	66.3	60.1	53.1	57.1	66.0	61.4	62.0	56.4	50.0	47.3
Exposure to foreign currency										
Foreign currency loans to total gross loans	42.1	36.4	32.8	39.1	28.7	25.6	29.0	36.9	35.7	34.9
Foreign currency liabilities to total liabilities	35.8	38.0	39.6	39.0	22.9	30.4	32.1	48.9	45.0	40.5
Net open position in foreign exchange to capital	6.9	2.5	4.1	5.5	2.8	3.6	1.6	4.7	0.8	2.6

Source: Bank of Zambia.

Annex I. Main Recommendations of the 2015 Article IV Consultation

Main Recommendations of the 2015 Article IV Consultation	
Recommendations	**Status**
Fiscal policy: Reduce the fiscal deficit on a commitment basis to less than 6 percent of GDP in 2015 and to 3 percent over the medium term.	Fuel and electricity subsidies and huge spending overruns on programs to support maize production compounded by revenue underperformance widened the deficit in 2015, on a commitment basis, to 12.1 percent of GDP and remained elevated at 8.6 percent of GDP in 2016.
Public financial management: Fully roll out IFMIS, enhance commitment controls, and implement the Treasury Single Account (TSA), to strengthen transparency and accountability and reduce the risk of accumulating arrears.	Some progress has been made in implementing the TSA and rolling out the IFMIS. Weak expenditure controls led to significant accumulation of expenditure arrears
Monetary policy: Maintain the tight monetary policy stance and rebuild reserves buffers.	BoZ maintained a tight monetary policy during most of 2015-16. Reserves declined, largely reflecting BoZ's intervention in the market in 2015. Since mid-2016, BoZ has opportunistically purchased foreign exchange in the market to build reserves.
Financial sector policy: Remove lending rate ceilings as part of the effort to improve access to financial services. Strengthen banking supervision.	BoZ removed the interest rate caps in November 2015. Individual financial inclusion has increased but SMEs' access to finance remains low. The passage of a law on the use of moveable collateral in 2016 is expected to support access to finance. The 2016 FSAP mission found that financial supervision was not fully effective.
Inclusive growth and competitiveness: Reduce policy uncertainty to promote inclusive job-creating growth.	Frequent changes in regulations, periodic bans on maize exports, and payment arrears to suppliers and contractors are clouding the business climate.

Annex II. Risk Assessment Matrix

Sources of Risks	Likelihood	Expected Impact on Economy	Recommendations
		Domestic Risks	
Delayed fiscal adjustment/sharply rising public debt	High	**High.** Increased domestic borrowing will crowd out credit to the private sector. Continued accumulation of domestic arrears will increase stress in the financial sector and slowdown growth. Increased non-concessional external borrowing will worsen debt dynamics. Delayed fiscal adjustment increases risk of sudden stop/reversal of portfolio inflows to domestic government securities market.	Implement fiscal consolidation measures, including: increase domestic revenues; strengthen prioritization of capital spending; rationalize subsidies by full application of cost-reflective pricing in the energy sector and improved efficiency in the Farmer Input Support Program.
Policy inconsistency	Medium	**Medium to High.** Ambivalent policies (e.g., on fiscal consolidation, maize exports, and private sector role in procurement of refined petroleum products) are clouding the investment climate.	The government should speak with one voice on key objectives and policies. Provide space for private sector to take the lead in maize marketing and procurement of refined petroleum products.
Rising political tensions	Medium	**Medium.** Rising tensions sour investor sentiments, with negative impact on investment and capital inflows.	Maintain the relative political stability enjoyed by Zambia over the years to sustain investor confidence in the economy.
		External Risks	
Tighter and more volatile global financial conditions	High	**Medium.** Increased external commercial borrowing costs will squeeze fiscal space for priority spending.	Rely more on concessional external borrowing for public investment projects. Greater scrutiny of financial and economic viability of projects financed by non-concessional loans.
Volatility in global copper prices	Medium	**High.** Rising global copper prices is positive in the near term; but volatility in the copper prices remain a risk to export earnings and the exchange rate.	Maintain exchange rate flexibility and build resilience against external shocks by strengthening the efforts to diversify the economy.

Annex III. FSAP Key Recommendations

Zambia FSAP Key Recommendations	
Recommendations and Authority Responsible for Implementation	**Time[1]**
Bank Supervision and Regulation	
Upgrade the BoZ and banking Acts to grant BoZ operational independence, provide for Basel II-III standards, sole BoZ licensing powers, setting down broad supervisory principles and leaving the details for regulations.	I
Complete onsite inspections of all banks and nonbanks, and conduct an asset quality review that focuses on the loan classification process.	I
Introduce a regular cycle of on-site inspections on a risk basis, informed by offsite analysis.	
Implement a centralized, structured, relational database for banking supervision and stress testing.	I
Urgently increase staff resources in number and expertise, in an orderly and manageable fashion.	I
Introduce a consolidated supervision regime and BoZ implement the new risk-based approach to onsite supervision.	NT
Introduce proactive information sharing by BoZ with home supervisors of Zambian Banks and ensure that BoZ is involved in resolution plans of parents of Zambian banks.	NT
Issue risk management directives incorporating concentration and cross-border exposure limits.	NT
Strengthen the AML/CFT legal framework and terrorist financing offense, in line with the FATF standards.	NT
Crisis Preparedness and Management	
Stipulate exceptional nature of ELA in regulatory texts and establish adequate statutory safeguards to prevent the BoZ from providing solvency support.	I
Include purchase and assumption, bridge bank, and bail-in resolution provisions in new BFSA.	I
Refine draft deposit protection scheme (DIS) bill in line with IADI norms.	I
Introduce DIS law only once the preconditions for deposit protection are fully in place, as per IADI norms.	NT
Capital Markets, Pensions, and Insurance	
Review Insurance Bill to allow enforcement of risk-based solvency criteria and market conduct supervision before submission to Parliament.	I
Pass Securities Bill to allow SEC to conduct effective supervision and enforcement.	I
Rollout uniform compliance-based supervision by SEC, ahead of implementing risk-based supervision.	I
Upgrade SEC systems and staff resources	I
Insolvency and Creditor/Debtor Rights (Interest Coverage Ratio)	
Reform insolvency legislation (Companies Act and Insolvency Bill) to incorporate best practices such as modern corporate restructuring and robust regulation of insolvency practitioners.	I
Payment System, Credit Information, and Consumer Protection	
Finalize Credit Reporting Bill and ensure compliance with BoZ directive to report to credit bureau.	I
Assign adequate resources to payment systems oversight function and ensure its independence from other BoZ functions.	NT
[1] I (immediate)" is within one year; "NT (near-term)" is one–three years; "MT (medium-term)" is three–five years.	

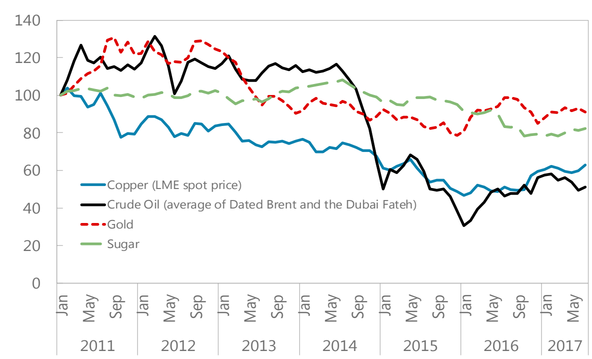
Annex IV. External Sector Assessment

A number of factors have adversely impacted Zambia's external sector since end-2014, including the fall in commodity prices, which eventually contributed to a sharp depreciation of the Zambian Kwacha. The exchange rate is assessed to have realigned from an overvalued positioned, as assessed in the 2015 Article IV staff report, to broadly in line with equilibrium at end-2016, but has since appreciated. Reserves have also taken a hit, and are assessed to have been below an adequate level at end-2016. An analysis of broader non-price indicators underscores significant competitiveness weakness. This highlights the need for Zambia to undertake structural reforms to broaden the economic base and strengthen the country's resilience.

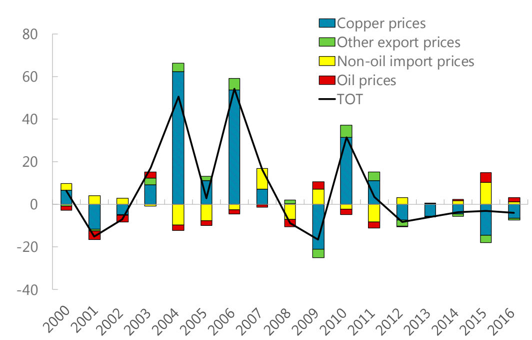
A. Developments in the external sector

1. **The decline in copper prices by almost 30 percent during 2012–16 adversely affected Zambia's external position**. Copper accounts for about 70 percent of export earnings. On the import side, oil prices have fallen significantly since early 2014. The terms of trade deteriorated every year during 2012–16.

Zambia: Commodity Prices
(indexes, January 2011 = 100)



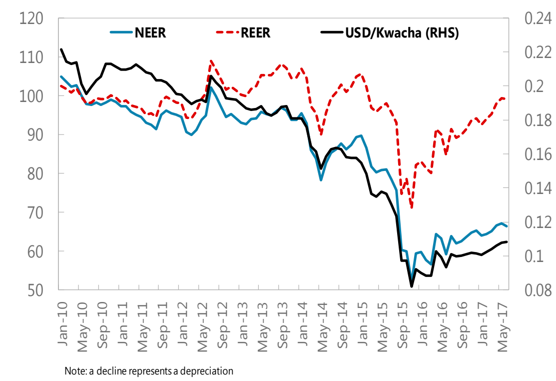
Zambia: Decomposition of changes in the Terms of Trade



2. **By end 2016, the Zambian Kwacha lost more than half its value against the dollar compared to mid-2014**. The depreciation pressures arose from a combination of lower copper prices, electricity shortages, policies inconsistencies and waning market confidence. The authorities intervened the latter months of 2015 and the rate has since stabilized, appreciating moderately in 2016. With the inflation differential vis-à-vis Zambia's trade partners widening, the REER depreciation was considerable less than the nominal depreciation. The REER has appreciated by 5.3 percent for the first half of 2017, with the nominal depreciation around 6.4 percent.

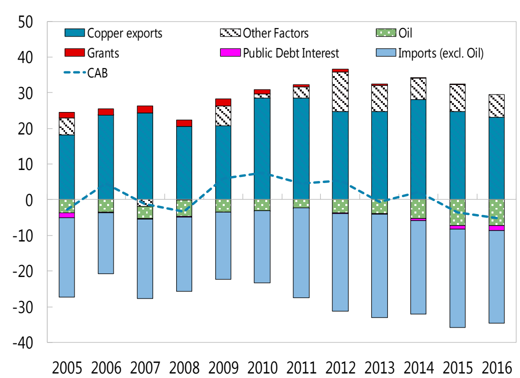
3. **Zambia's external current account deteriorated with the collapse of copper prices**. The current account position was broadly characterized by surpluses between 2005 and 2014, averaging 2.2 percent of GDP supported by high copper prices and increased volumes of copper exports as new mines came on stream. Since then, current account balance has shifted to deficits; 3.5 percent of GDP in 2015 and 5.5 percent of GDP in 2016. The surge in oil and electricity imports to cover for shortages in domestic power supply, and rising interest payments on public debt as well as elevated non-oil imports have exerted pressure on the non-copper current account. Although non-copper exports are growing, the economy remains vulnerable to heavy export concentration in copper.

Zambia: NEER, REER and Exchange Rate
(Jan 2010–December 2016



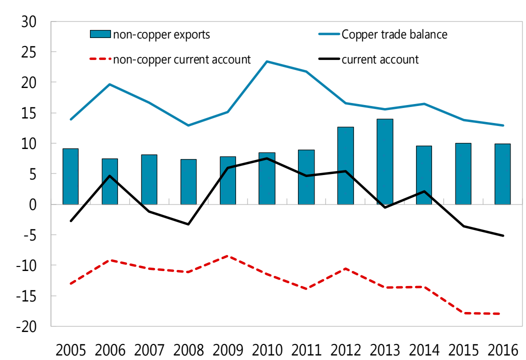
Sources: Bank of Zambia and IMF Staff estimates

Zambia: Current Account and its Components
(Percent of GDP)



Sources: Bank of Zambia and IMF staff estimates

Zambia: Current Account Balance and its Components
(Percent of GDP)



Source: Bank of Zambia and IMF staff estimates

4. **The current account deficit is projected to remain substantial in 2017 and gradually improve over the medium term**. Exports are expected to pick up gradually, supported by a recovery in copper prices and improving export volumes. Over the medium-term imports are projected to grow in line with aggregate demand, as the economy recovers.

B. Real exchange rate assessment

5. **A large depreciation brought the real effective exchange rate closer to equilibrium in 2016**. The results are based on the External Balance Assessment (EBA-lite) methodology[1] which includes three approaches: the current account model (CA), the real exchange rate model (REER), and the external sustainability (ES) approach. The current account and real exchange rate models are based on panel regressions. They provide estimated current account and exchange rate "norms", which values are consistent with fundamentals and desirable policies.[2] External positions are represented by the gaps between the actual current account and real exchange rate and their corresponding norms. The ES approach calculates a current account norm that would stabilize the net foreign asset (NFA) position at some benchmark level (in the present case, NFA is stabilized at its recent level).

Zambia: Real Effective Rate Gap

	(Percent of GDP)				
	Norm	acutal	Gap	Elasticity	REER GAP[1]
1. Current Account Model	-4.3	-5.5	-1.3	-0.23	5.6%
2. Real Effective Exchange Rate Model					-1%
3. External sustainability (ES) approach[2]					
Scenario 1: Stabilizing net IIP at 2.2% of GDP[3]	1.4	2.3	0.9		4.2%
Scenario 2: Stabilizing net IIP at -15% of GDP[4]	0.0	2.3	2.3		10.5%

[1] A positive number indicates overvaluation

[2] The projected current account balance is 2.3 percent for 2022.

[3] This is the IIP value at end-2016.

[4] This is the 5-year average IIP value up to 2014.

6. **The current account approach suggests that the real effective exchange rate is about 5½ percent overvalued**. The CA panel regression model includes variables that are grouped into three categories: (i) policy variables that can be directly affected by policy actions; (ii) non-policy fundamentals are generally slow-moving in the absence of structural reforms; and (iii) cyclical factors capture the cyclical component in the current account.[3] In this regard, the desirable fiscal policy stance is assumed to be a 3½ percent deficit over the medium term. On this basis, the CA approach estimates a CA norm of -4.3 percent of GDP and a CA gap of -1.3 percent of GDP in 2016. The real effective exchange rate adjustment that would eliminate this difference over the medium term is then calculated using an estimated elasticity of the current account with respect to the real

[1] See IMF, 2013, "The External Balance Assessment (EBA) Methodology", IMF Working Paper, WP/13/272 and IMF, 2016, "Methodological Note on EBA-Lite", Policy Paper.

[2] The current account norm is the level of the current account that is in line with fundamentals and desirable policy values. The policy gap is defined as the gap between a country's actual policies and its optimal policies and the 'fittedcurrent account' (a product of the level of economic fundamentals and the coefficients of the EBA regression panel). The regression panel, estimated on a sample of about 150 countries over the period 1995–2013, includes a set of 'traditional fundamentals, 'financial factors', 'cyclical/temporary factors' and policy-related regressors, most of thesevariables being computed as a country's deviation from the 'world' counterpart.

[3] *Policy variables* include fiscal balance, foreign exchange intervention, private credit and capital controls, (ii) *non-policy fundamentals* include NFA, productivity, oil and gas exports, demographic indicators, real GDP growth forecast, country risk, financial center, aid and remittances, and (iii) *cyclical factors* include output gap and terms of trade.

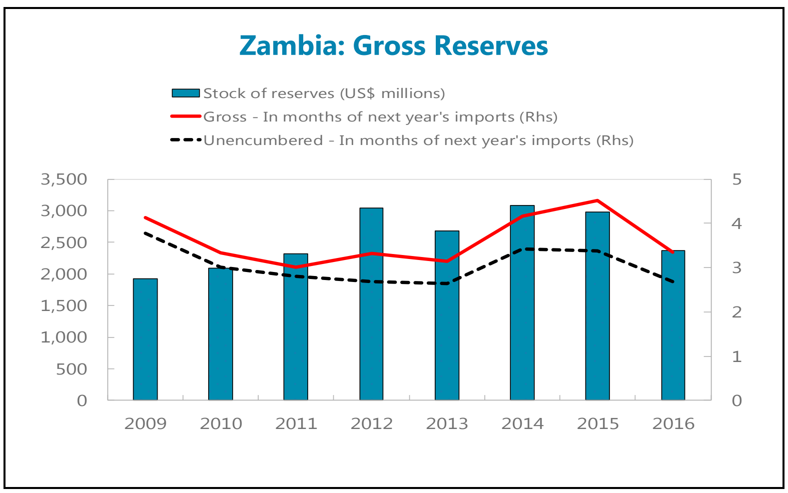
exchange rate. The adjustment is calculated to be about 5.6 percent, based on an estimated elasticity of -0.23.[4]

7. **The REER[5] approach suggests that the real effective exchange rate is in line with fundamentals**. In addition to the above assumptions, the REER model assumes that actual interest rate will converge a value that is consistent with inflation and output stabilization needs in the near term. Staff estimates this to be 6 percent for Zambia. Under these assumptions, the REER is estimated to be roughly 1 percent lower that its equilibrium value at end-2016.

8. **The external sustainability method indicates an overvaluation of about 10 percent**. Under the assumption of a benchmark equal to the projected external position for 2016 of 2.2 percent of GDP, the required adjustment in the current account implies an overvaluation of the real exchange rate of 4.2 percent. Under one possible hypothesis of an external position target equal to the 5-year average position up to 2014, which is prior to the sharp depreciation and economic recession (-15 percent of GDP) to be achieved by 2021, the implied real exchange rate overvaluation would be about 10.5 percent.

C. Reserves adequacy assessment

9. **Zambia's international reserves buffer has fallen in recent years, mainly reflecting the challenging external environment.** Export earnings have fallen considerably since 2014 reflecting declining global commodity prices, while import compression has been tempered by the need to import additional fuel and electricity. In addition, the Bank of Zambia intervened on a number of occasions in the foreign exchange market in 2015 to stem exchange rate depreciation. At end-2015, Zambia's gross international reserves stood at US$2.98 billion (4 months of future imports), which includes proceeds from the Eurobond issuance during the year of US$1.25 billion. Reserves fell by a further $612 million during 2016 to $2.4 billion or (3.3 months of future imports). Zambia reserve buffers are significantly lower than in several of its peers.

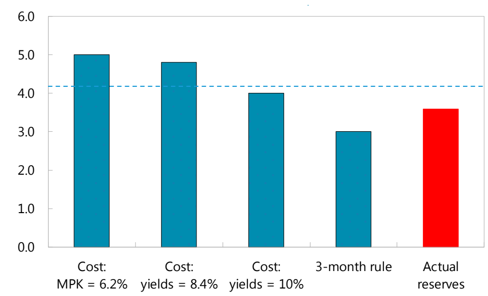


[4] The average REER adjustment to eliminate the CA gap is based on the elasticity of the CA to the REER estimated by Lee et al, 2008, "Exchange Rate Assessment CGER Methodologies", *IMF Occasional Paper* No. 261 and Tokarick, S., 2010, "A Method for Calculating Export Supply and Import Demand Elasticities", *IMF Working Paper* No. 180.

[5] The panel regression model for the REER index includes variables that would affect the REER directly and indirectly though changes to the CA balance. These variables are: (i) *policy variables* include FX intervention, short-term real interest rate, private credit and capital controls, and (ii) *non-policy fundamentals* include NFA, productivity, financial home bias, terms of trade, trade openness, output gap, aid and remittances.

10. **The end-2016 reserves level is below what can be considered adequate.** This assessment uses a cost-benefit approach developed by Fund staff for low-income country analysis, which attempts to balance the absorption smoothing benefits of reserves in the event of adverse shocks against the opportunity cost of holding reserves taking into account country specificities including the exchange rate regime, fiscal balance, institutional quality, the nature of external drains and degree of access to international capital markets.[6] This analysis suggests, that at the end-2016, the reserves level of 3.5 months of current imports was at the lower end of what can be considered as the optimal level range of 4–5 months of current year's imports.[7] As such, the baseline scenario projection of 2.2 months of imports for 2017 would be an inadequate level.

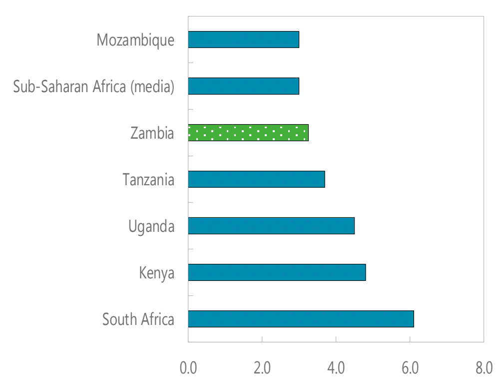
Zambia: Reserve Adequacy Assessment
(months of current imports)



Sources: Staff estimates

11. **Alternative assessments of reserves adequacy suggest a cover larger than the 3-month rule.** Zambia's reserves holdings are mainly for precautionary purpose for absorption smoothing in the event of shocks and prevent disorderly market conditions as well as to cover against episodes of capital flight. Given Zambia's heavy reliance copper exports, the need to protect against current account shocks (larger driven by volatility in copper prices) would suggest a higher reserves buffer than the three-month rule is needed; essentially to dampen the country's vulnerability to fall in copper prices. Some of the regional peers (e.g. Kenya, Uganda and Tanzania) with relatively more diversified exports products and markets have relatively higher reserves' months of import cover. In relation to broad money, which is another common measure for reserve adequacy against capital flight, the end-2016 reserves were equivalent to about 80 percent of broad money liabilities, which is less than full cover. Another traditional rule requires reserve coverage of 100 percent of short-term debt. Zambia however has very little short-term debt and although public external debt amortization has

Zambia: Gross Reserves in Months of Imports Relative to Peers: 2016



Sources: Bank of Zambia and IMF, African Department database

[6] The methodology is outlined in *Assessing Reserve Adequacy*, IMF Policy Paper, February 2011 and also in the Guidance Note On the Assessment of Reserves Adequacy and Related Considerations, June 2016.

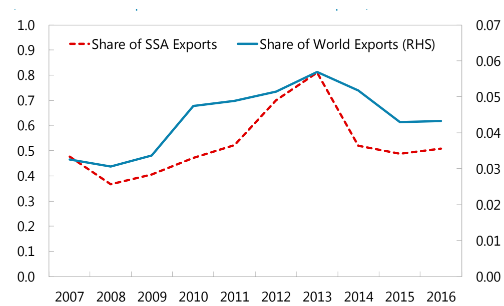
[7] This analysis uses the average yields in 2015 on the three Eurobonds and the marginal product of capital as alternative proxies for the costs of holding reserves, which is in accordance with the guidance notes (see paragraph 40 of the above-mentioned guidance note). The former is justified as providing an estimate of the interest rate that banks are willing to take to enter into a cross-currency swap with another bank or client to exchange the local currency for a foreign currency during the tenor of contract, while the latter is a proxy capturing the opportunity cost of foregone fixed investment.

been rising, the end-2016 reserve coverage was about 6-fold the expected debt repayments due within the next 12-months. Nevertheless, the first bullet payment on the Eurobonds is due in 2022 and the others in the immediate years following. In addition, non-resident holdings of domestic currency debt have increased since late 2016 in response to attractive yields and relative stability in exchange rate but are susceptible to sudden stops or reversal if market sentiments adversely change. This implies the necessity for returning to a path of reserve buildup to sustain investors' confidence.

D. Assessment of Structural Competitiveness

12. **Exports remain heavily concentrated in one product, copper**. Zambia's export market shares in the global exports increased between 2008 and 2013. This largely reflected increased copper exports due to improved domestic production as new mines came on stream, and increased copper concentrates imported from the Democratic Republic of Congo for processing. Since then, however, there was notable decline in the global export market shares, largely reflected in reduced copper concentrates from Congo DR, which more than offset the increase in domestic production of copper. The country remains vulnerable to reliance on one dominant export product.

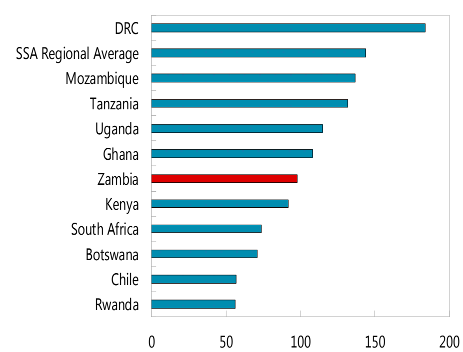
Market Share of Zambia's Total Exports
(Percent of World Exports and Sub-Saharan African Exports)



Source: IMF, *Direction of Trade Statistics*

13. **Zambia business environment has deteriorated based on the 2017 World Bank Doing Business indicators**[8]. The country was ranked at position 98 out of 190 economies in 2017, down from position 83 out of 189 economies in 2014. Although its ranking is higher than the SSA regional average, there is room for improvement towards the status of some regional peers such as Rwanda and South Africa, and other commodity exporters such as Chile and Botswana. Weak areas on business environment include getting electricity, starting a business, trading across borders, registering property and enforcing contracts. According to the World Economic Forum Global Competitiveness

Zambia: Overall Ease of Doing Business, 2017
(Rank, lower is better)



Source: World Bank, *Doing Business.*

[8] Economies are ranked on their ease of doing business, from 1–190. A lower ease of doing business ranking means the regulatory environment is more conducive to the starting and operation of a local firm. The rankings are determined by sorting the aggregate distance to frontier scores on 10 topics. These indicators should be interpreted

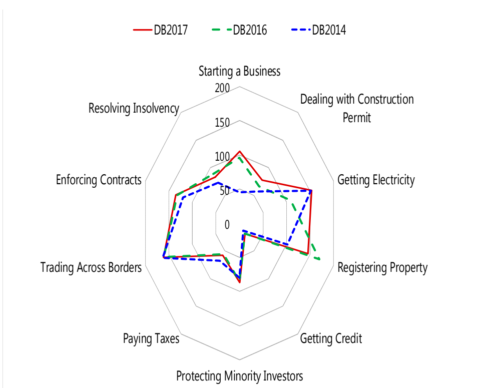
(continued)

report for 2016–17, the main constraints to doing business as perceived by investors were access to financing, tax rates, corruption, and inflation.[9] The 2014 version of the report also listed inadequate supply of infrastructure as a major constraint.

14. **Improvement in the business climate will boost competitiveness and help attract investment and promote growth**. Zambia government has initiated some measures to address these weaknesses. These include passage of law on the use of moveable collateral to access finance and focus on economy diversification, including facilitating diversification of agricultural output to cash crops such as cotton, cashew nuts, soya beans, cassava and rice, to broaden the export base and improve the country's resilience to external shocks. Establishing policy consistency in the agriculture sector such as abolishing maize export ban and limiting the role of the Food Reserve Agency in the marketing of maize could attract more private sector investments to take advantage of potential market from surrounding countries with maize deficits. In addition, the move towards cost reflective tariffs on electricity would provide an opportunity to attract private investments in the sector boosting domestic supply of electricity. Enhanced transparency in petroleum product procurement and pricing, and improving efficiency to cut the underlying cost of supplying fuels would enhance competitiveness of the Zambia's economy. There has been increased consultation with the stakeholders in the mining sector towards establishing a stable mining tax regime, which is expected to boost investment in the sector and promote value addition.

Zambia: Components of the Ease of Doing Business

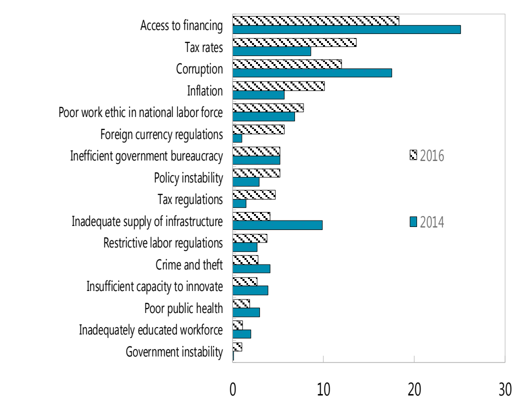
(Rank, lower indicate more business friendly regulations)



Source: World Bank, *Doing Business*.

Zambia: The Most Problematic Factors for Doing Business

(Percent of



Source: World Economic Forum, Global Competitiveness Report

with caution due to a limited number of respondents, a limited geographical coverage and standardized assumptions on business constraints and information availability.

[9] The World Economic Forum Global competitiveness report examines a set of structural indicators that could potentially impact on competitiveness. The report broadly shows the same results that Zambia's ranking deteriorated to 118th (out of 138 countries) in 2016–17, down from 96 (out of 140 countries) in 2015–16.

15. **Structural reforms to enhance higher value-added exports and diversified export products would enhance export performance, and improve the economy's resilience to external shocks**. It is crucial for Zambia to step up reforms to improve investment prospects and attract FDI that allows it to diversify into higher value-added products and investments in other sectors of the economy. Improving agriculture productivity in Zambia would enhance export, particularly for maize given potential market from the surrounding countries with maize deficits. Although Zambia's average cereal yields per hectare is higher than SSA regional average and most of its neighboring countries, it remains quite low compared to South Africa. Establishing policy consistency in the agriculture sector such as abolishing on maize export ban and setting of prices create certainty, and would attracts more private sector investments. Rationalizing farm subsidies, and the savings invested on measures to enhance crop yields and long-term competitiveness.

Annex V. Capacity Development Strategy for FY 2018

The Fund's capacity development assistance provides support on implementation of the authorities economic and financial policies. The technical assistance activities for FY 2018 are drawn from key surveillance and program priorities discussed with the authorities.

Overall Assessment of Capacity Development

1. **Capacity development by the Fund to the authorities through targeted TA helps in addressing capacity building and institutional weaknesses**. Zambia has benefited from many TA missions[1] from the Fund focusing on key priorities. Broadly, the priority areas are revenue and customs administration to enhance domestic revenue mobilization, public finance management (PFM) to improve budget controls and execution, financial supervision and regulations to strengthen financial stability, monetary policy and operations, and compilation and dissemination of statistics to inform policy analysis and implementation.

2. **Implementation of the TA recommendations in most areas is mixed**. Good progress has been made with the compilation of national accounts statistics, including quarterly GDP, and external sector statistics. More progress, however, is required to strengthen domestic revenue mobilization and public financial management to put public debt on a downward path. The 2016 FSAP for Zambia pointed to risks to financial stability arising from inadequate capacity for bank supervision, systemic risk analysis and financial crisis management. Limitations slowing implementation of some of the TA recommendations include; lack of buy-in from key national stakeholder (line ministries on PFM), lack of financial resources to conduct surveys to improve statistics, inadequate staffing and complementary trainings, and lack of coordination between various government agencies.

Forward Looking Priorities

3. **Fiscal consolidation, debt management and financial stability are key themes in surveillance and program discussions with the Zambian authorities in 2017**. They inform the capacity development priorities during the FY2018. The key priorities and objectives for FY 2018 include:

[1] A list of Resident advisors and Technical Assistance missions to Zambia in the recent years are shown in the Informational Annex.

Priorities	Objectives
Public Financial Management	Comprehensive, credible, and policy based budget preparation
	Budget execution and control, including measures to avoid the accumulation of new arrears as well as accounting and fiscal reporting reforms
	Management of fiscal risks
	Debt management
	Public investment
Tax policy	Revenue quantity particularly by broadening the income tax and value added tax bases and enhancing tax compliance
Financial supervision and regulation	Risk-based supervision and other supervisory processes
Systemic risk analysis	Systemic risk monitoring
Financial crisis management	Contingency planning for crisis, and deposit insurance.
National accounts statistics	High frequency output indicators and improvement in estimates of informal activity
Tax and customs administration	Administration organizational structure and core functions
Central bank operations	Foreign exchange market and operations, monetary policy implementation and operations
Prices	Producer price index, import price index
External sector statistics	Compilation of quarterly international investment position statistics and timelier quarterly balance of payments statistics

4. **The main risk to capacity development is slow implementation of TA recommendations and weak absorptive capacity**. Measures to mitigate these risks include; proper sequencing of TA and complementary trainings, adequate engagement of implementing agencies and stakeholders, and communications strategy on consequences of inaction.

Authorities Views

The authorities are broadly in agreement with the overall assessment and priorities of the capacity development strategy.